



Texas Children's®

Fiscal 2024 Annual Report

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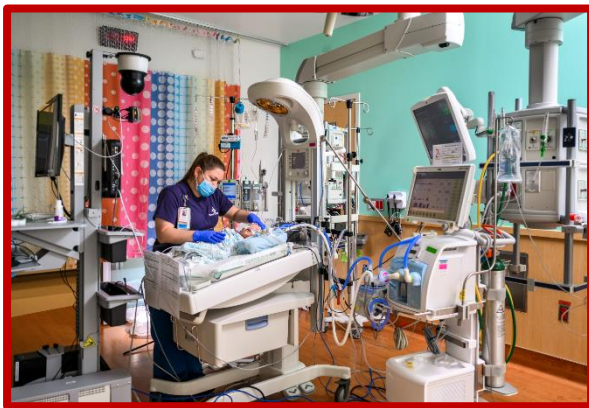
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who we are

Texas Children's is a not-for-profit organization based in the Texas Medical Center in Houston, Texas. It is comprised of several entities ranging from general pediatric care to obstetric and gynecological services. It also includes the country's first pediatric health maintenance organization, as well as a foundation which is the holder of investments administered for the sole benefit of Texas Children's Hospital. Through the combination of these entities, we create a healthier future for children and women throughout our global community by leading in patient care, education, and research.



what we do



We drive innovation and focus relentlessly on positive outcomes. We believe in leading tirelessly every day so that we can extend our reach around the globe to find new and improved ways to help children and women get the care they deserve. We are never restricted by what has been done before, and we embrace the freedom to discover better methods. We create medical breakthroughs not just for today, but for years to come. We succeed even when faced with the most difficult cases through cross-disciplinary expertise and collaboration to improve outcomes and overall quality of life for our patients. We invest millions in education to ensure we have the best team to bring our mission to life. At Texas Children's, our patients and their families are at the heart of everything we do.

where we're going

We opened the doors to our hospital in 1954 and have grown tremendously. We started with a three-story pediatric hospital which has grown to be a multi-building pediatric campus in the Texas Medical Center. In addition, Texas Children's has expanded its line of service to provide obstetrics and gynecological (OB/GYN) care, as well as pediatric facilities in west Houston and The Woodlands. In 2017, Texas Children's announced plans to expand its pediatric health care offerings into the Austin community with an extensive outpatient network. In February 2024, Texas Children's opened and began services of a 52-licensed-bed comprehensive pediatric, obstetric, and gynecological care facility in Austin. Texas Children's has opened eighteen pediatric primary care clinics, one urgent care clinic and one pediatric specialty care clinic in the Austin metropolitan area.



Texas Children's, 1954



Texas Children's, 2024

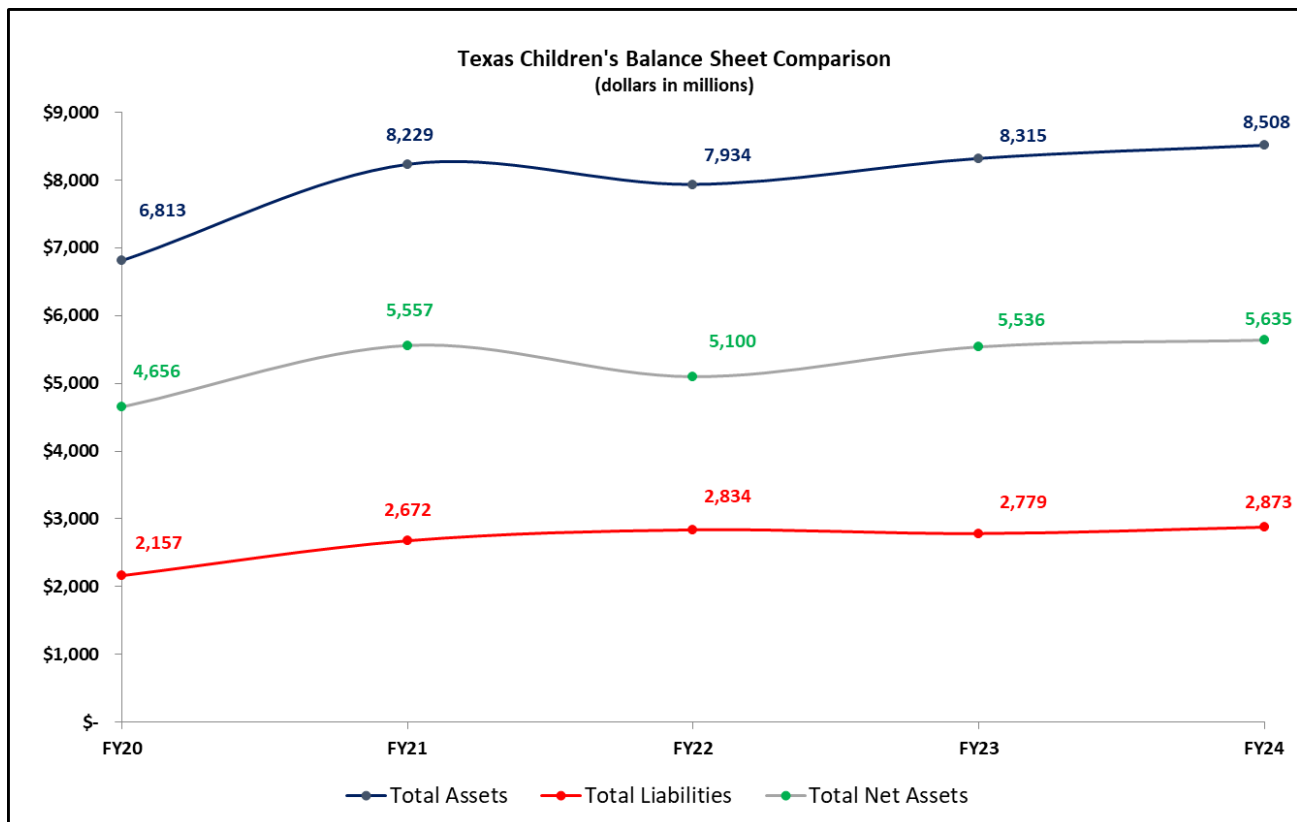
U.S. News & World Report



The 2024-25 edition of Best Children's Hospitals by *U.S. News & World Report* ranked Texas Children's Hospital number one in Texas. For the sixteenth straight year, Texas Children's Hospital placed on the Best Children's Hospital Honor Roll of best pediatric institutions. Texas Children's is one of only 10 children's hospitals across the country to achieve the Honor Roll designation, and the only hospital in Texas – and the southern U.S. – awarded this distinction. Each year, in addition to ranking pediatric hospitals overall, *U.S. News & World Report* also ranks the top 50 pediatric hospitals across 10 major subspecialties. For the eighth straight year, Texas Children's Heart Center ranked as the best cardiology and heart surgery service in the country and for the second straight year ranked number one in Nephrology, along with seven additional subspecialties that are among the top five programs nationally. Additionally, Texas Children's earned the highest designation available for Behavioral Health, which is a new ranked specialty this year.

Financial Results – Texas Children's

Texas Children's consolidated balance sheet remains strong. As of September 30, 2024, total assets were \$8.5 billion and debt to capitalization was 21.3%. Days cash on hand was 199 as of September 30, 2024, which is a 33-day decrease from prior year end.



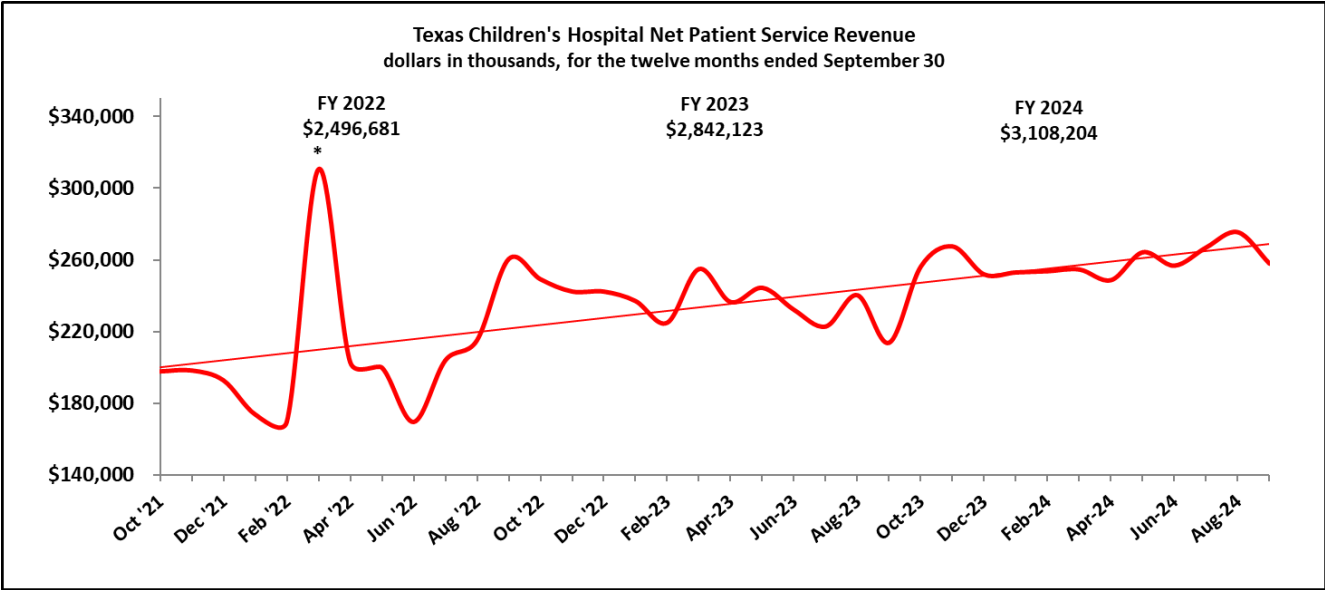
For the twelve months ended September 30, 2024, Texas Children’s operating loss was \$467.9 million, a decrease of \$582.3 million compared to prior year operating income of \$114.4 million.

Texas Children’s operating cash flow, which is calculated by adding back interest, depreciation, and amortization costs to operating loss, was an outflow of \$244.0 million for the twelve months ended September 30, 2024, a decrease of \$556.3 million from prior year.

Texas Children’s Hospital

Texas Children’s Hospital’s (TCH) operating loss was \$152.0 million for the twelve months ended September 30, 2024, a decrease of \$242.3 million from prior year operating income of \$90.3 million.

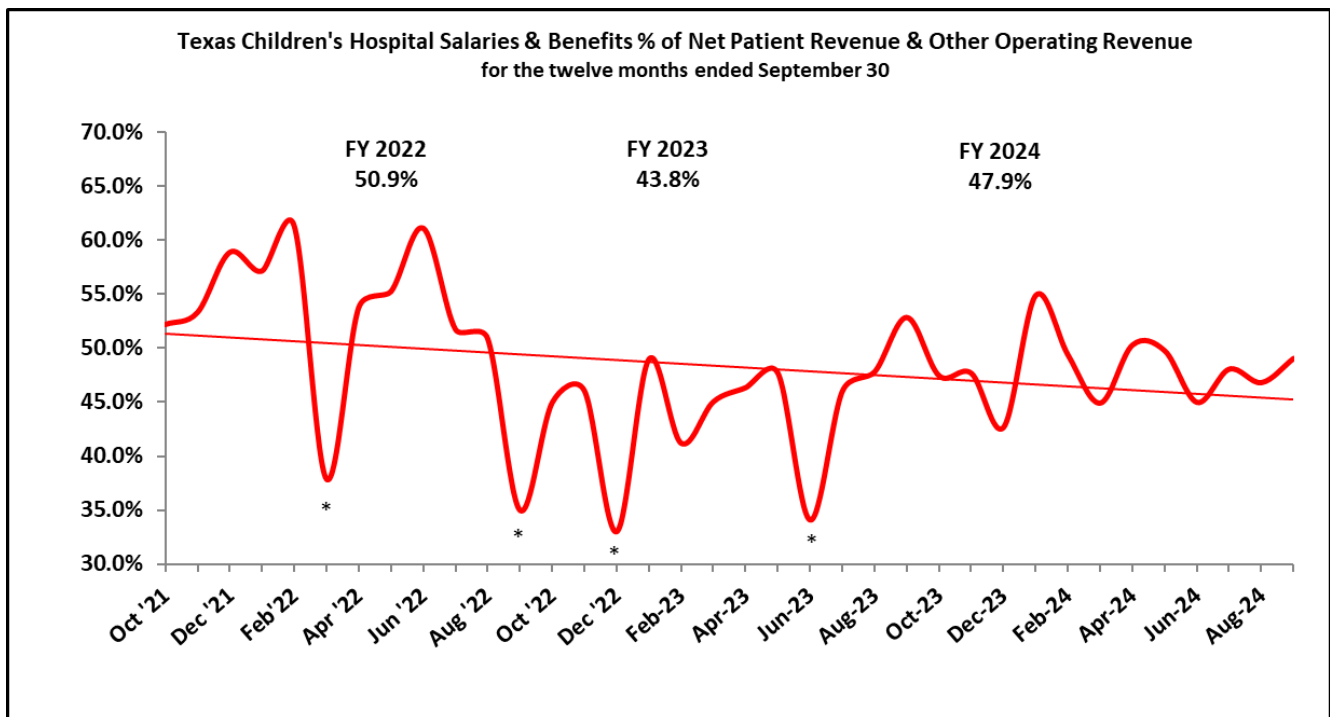
For the twelve months ended September 30, 2024, net patient service revenue increased \$266.1 million, or 9.4%, compared to prior year. During fiscal year 2024, total equivalent patient days increased 4,933 or 1.8%. In February 2024, Texas Children’s opened a 52 bed pediatric facility in Austin, Texas and is actively managing start-up related costs.



*The increase in net patient service revenue during the second quarter of fiscal year 2022 is due to the recognition of Comprehensive Hospital Reimbursement Program (CHIRP) revenue for the period of September 1, 2021 to March 31, 2022 in March 2022.

Texas Children's Hospital Statistical Summary for the twelve months ended September 30				
	FY 2024	FY 2023	Increase (Decrease)	% Increase (Decrease)
Admissions	35,408	36,066	(658)	(1.8%)
Average Daily Census	754	744	10	1.3%
Surgery Cases	50,577	49,081	1,496	3.0%
Surgery Hours	75,617	72,377	3,240	4.5%
Emergency Room Visits	178,745	183,848	(5,103)	(2.8%)
Births	6,579	6,688	(109)	(1.6%)

For the twelve months ended September 30, 2024, salaries and benefits as a percentage of net patient service revenue and other revenue was 47.9% compared to 43.8% in the same period of the prior year. Texas Children's Hospital had full time equivalents of 13,555 and 12,500 for the twelve months ended September 30, 2024 and 2023, respectively. Premium labor as a percentage of net patient service revenue and other revenue of 1.8% decreased by 1.1% from prior year as TCH focused efforts on managing premium pay costs in a challenging labor market.



* The decrease in salaries & benefits as a percentage of net patient service revenue and other operating revenue is due in part to the timing of the CHIRP program approval and the availability of data to estimate the amount of funds TCH is entitled to for the period.

Texas Children's Health Plan

Texas Children's Health Plan's (TCHP) operating loss of \$248.5 million for the twelve months ended September 30, 2024, was a decrease of \$317.9 million from the prior year. The results include approximately \$18.0 million and \$209.6 million of an experience rebate for the twelve months ended September 30, 2024 and 2023, respectively, which is recorded as a reduction of premium revenue. This experience rebate included as of September 30, 2024, is associated with runout activity associated with State Fiscal Year 2023. The rebate is a mechanism for managed care organizations (MCOs) to pay back premiums to the Health and Human Services Commission (HHSC) if profits are in excess of a defined percentage of revenue.

On March 28, 2020, the HHSC temporarily waived certain reenrollment and eligibility requirements for Medicaid members to maintain continuity of coverage during COVID-19. This led to Medicaid membership increases across the state. The increase in membership since the beginning of COVID-19, and the decline in medical claims activity due to lower utilization, led to strong TCHP operating income during the prior fiscal year.

On March 9, 2023, in agreement with the Consolidated Appropriations Act of 2023 and under the direction of the Centers for Medicare and Medicaid Services', HHSC announced the expiration of the continuous Medicaid enrollment condition on March 31, 2023. The process of terminating Medicaid enrollment for individuals who are no longer eligible was required to be completed by March 31, 2024. Total TCHP membership of 447,921 at September 30, 2024, represented a decrease of 16.6% when compared to the prior year.

The decline in TCHP's 2024 operating results has been primarily driven by a decrease in membership following the Public Health Emergency (PHE) unwind, and lower premium rates per member compared to the prior year, and higher medical expense per member per month driven by increased utilization and acuity from the smaller membership base. The lower premium rates are the result of rate decreases implemented by HHSC at the beginning of state fiscal year 2024.

Based on September 30, 2024 results and expected results for the remainder of the state fiscal year, on a stand-alone basis TCHP anticipates generating a loss on its current contracts with state-funded Medicaid program and Children's Health Insurance Program (CHIP) ending August 2025. Under accounting guidance for insurance contracts, TCHP recognized the full anticipated loss for the remainder of the contract period in September 2024 as a premium deficiency reserve (PDR) totaling \$78.0 million. Partially offsetting the impact of the PDR was a retro premium rate increase from HHSC of approximately \$74.0 million for the state fiscal year 2024.



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Report of Independent Auditors

Management and the Board of Trustees
Texas Children's

Report on the Audit of the Financial Statements

Opinion

We have audited the consolidated financial statements of Texas Children's, which comprise the consolidated balance sheets as of September 30, 2024 and 2023, and the related consolidated statements of operations and changes in net assets and cash flows for the years then ended, and the related notes (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of Texas Children's at September 30, 2024 and 2023, and the results of its operations, changes in its net assets and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (*Government Auditing Standards*). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Texas Children's and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free of material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about Texas Children's ability to continue as a going concern for one year after the date that the financial statements are issued.



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Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free of material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Texas Children's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Texas Children's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Supplementary Information

Our audit was conducted for the purpose of forming an opinion on the consolidated financial statements as a whole. The accompanying consolidating information and Schedule of Expenditures of Federal Awards as required by Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* and Schedule of Expenditures of State Awards as



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required by the *State of Texas Singular Audit Circular* is presented for purposes of additional analysis and is not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the consolidated financial statements. The information has been subjected to the auditing procedures applied in the audit of the consolidated financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the consolidated financial statements or to the consolidated financial statements themselves, and other additional procedures in accordance with GAAS. In our opinion, the information is fairly stated, in all material respects, in relation to the consolidated financial statements as a whole.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated December 12, 2024 on our consideration of Texas Children's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of Texas Children's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Texas Children's internal control over financial reporting and compliance.

Ernst & Young LLP

December 12, 2024, except for the schedule of expenditures of federal awards and the schedule of expenditures of state awards, for which the date is June 11, 2025.

Report of Independent Auditors on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with *Government Auditing Standards*

Management and the Board of Trustees
Texas Children's

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*), the consolidated financial statements of Texas Children's, which comprise the consolidated balance sheet as of September 30, 2024, and the related consolidated statements of operations and changes in net assets and cash flows¹ for the year then ended, and the related notes (collectively referred to as the "financial statements"), and have issued our report thereon dated December 12, 2024.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered Texas Children's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinion⁽²⁾ on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Texas Children's internal control. Accordingly, we do not express an opinion on the effectiveness of Texas Children's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether Texas Children's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Ernst + Young LLP

December 12, 2024

Texas Children's
Consolidated Balance Sheets

(Dollars in thousands)

	September 30, 2024	September 30, 2023
Assets		
Current assets:		
Cash and cash equivalents	\$ 236,793	\$ 569,642
Patient accounts receivable	705,000	538,209
Receivable for Medicaid and other supplemental reimbursements	26,612	145,959
Assets limited as to use, current portion	53,941	51,964
Investment-related receivables	115,490	96,617
Other current assets	<u>615,326</u>	<u>443,167</u>
Total current assets	1,753,162	1,845,558
Assets limited as to use	218,566	105,434
Investments	3,741,552	3,694,334
Property and equipment, net	2,445,201	2,387,337
Other assets	<u>349,209</u>	<u>282,527</u>
Total assets	<u>\$ 8,507,690</u>	<u>\$ 8,315,190</u>
Liabilities and net assets		
Current liabilities:		
Accounts payable and accrued expenses	\$ 1,044,793	\$ 1,177,981
Investment-related accrued expenses	160,992	125,645
Current portion of long-term debt	23,805	22,545
Line of credit	<u>266,300</u>	<u>232,000</u>
Total current liabilities	1,495,890	1,558,171
Long-term debt	1,193,613	1,057,367
Loss reserves for self-insurance program	35,454	35,074
Long-term operating lease obligations	114,800	102,457
Other long-term liabilities	<u>33,243</u>	<u>26,036</u>
Total liabilities	<u>2,873,000</u>	<u>2,779,105</u>
Net assets:		
Without donor restrictions	5,133,160	5,083,709
With donor restrictions	<u>501,530</u>	<u>452,376</u>
Total net assets	<u>5,634,690</u>	<u>5,536,085</u>
Total liabilities and net assets	<u>\$ 8,507,690</u>	<u>\$ 8,315,190</u>

See accompanying notes to consolidated financial statements.

Texas Children's
Consolidated Statements of Operations and Changes in Net Assets

(Dollars in thousands)

	Twelve Months Ended	
	September 30,	
	2024	2023
Changes in net assets without donor restrictions:		
Operating revenues:		
Net patient service revenue	\$ 2,871,913	\$ 2,621,202
Premium revenue	2,727,450	3,148,783
Medicaid and other supplemental reimbursements	170,347	190,177
Grants	18,337	16,808
Net assets released from restrictions for operations	52,132	51,934
Other	330,494	335,274
Total operating revenues	<u>6,170,673</u>	<u>6,364,178</u>
Operating expenses:		
Salaries and benefits	2,120,427	1,925,857
Medical claims	1,830,616	1,743,439
Professional fees	807,274	688,645
Supplies and pharmaceuticals	604,993	546,777
Outside purchased services	338,283	315,702
Depreciation and amortization	180,626	167,771
Operation of plant	183,456	175,437
General and administrative	258,104	242,531
Enhanced mission support	271,535	413,507
Interest	43,278	30,097
Total operating expenses	<u>6,638,592</u>	<u>6,249,763</u>
Operating (loss) income	<u>(467,919)</u>	<u>114,415</u>
Nonoperating gains (losses):		
Investment return	476,911	255,986
Change in interest rate swap valuation	(10,998)	8,825
Other	(2,124)	468
Net nonoperating gains	<u>463,789</u>	<u>265,279</u>
Revenues and gains in (deficiency) excess of expenses and losses	<u>\$ (4,130)</u>	<u>\$ 379,694</u>

See accompanying notes to consolidated financial statements.

Texas Children's

Consolidated Statements of Operations and Changes in Net Assets, *continued*

(Dollars in thousands)

	Twelve Months Ended	
	September 30,	
	2024	2023
Changes in net assets without donor restrictions:		
Revenues and gains in (deficiency) excess of expenses and losses brought forward	\$ (4,130)	\$ 379,694
Net assets released from restrictions for purchases of property, equipment and other	12,581	4,352
Change in pension liabilities	41,000	13,340
Change in net assets without donor restrictions	49,451	397,386
Changes in net assets with donor restrictions:		
Donor-restricted contributions	69,023	77,027
Net assets released from restrictions	(61,548)	(54,214)
Investment return and other, net	41,679	16,264
Change in net assets with donor restrictions	49,154	39,077
Change in net assets	98,605	436,463
Net assets at beginning of year	5,536,085	5,099,622
Net assets at end of year	\$ 5,634,690	\$ 5,536,085

See accompanying notes to consolidated financial statements.

Texas Children's Consolidated Statements of Cash Flows

(Dollars in thousands)

	Twelve Months Ended September 30,	
	2024	2023
Operating activities:		
Change in net assets	\$ 98,605	\$ 436,463
Adjustments to reconcile change in net assets to net cash provided by operating activities:		
Decrease in pension liabilities	(41,000)	(13,340)
Net realized and unrealized gains on investments	(482,531)	(225,244)
Depreciation and amortization	180,626	167,771
Decrease/(increase) in interest rate swap valuation	10,998	(8,825)
(Gain)/loss on early extinguishment of debt	(386)	1,094
Noncash lease expense	23,876	21,989
Donor restricted contributions received	(83,989)	(74,310)
Changes in assets and liabilities:		
(Increase)/decrease in patient accounts receivable	(166,791)	3,018
Decrease/(increase) in receivable for Medicaid and other supplemental reimbursements	119,347	(130,091)
Increase in other assets	(235,083)	(117,385)
Decrease in accounts payable and accrued expenses	(131,476)	(171,813)
Increase (decrease) in other liabilities	13,782	(59,699)
Total adjustments	(792,627)	(606,835)
Net cash used in operating activities	(694,022)	(170,372)
Investing activities:		
Sales of investments, net	466,516	12,005
Purchases of property and equipment	(243,175)	(325,945)
Net cash provided by/(used in) investing activities	223,341	(313,940)
Financing activities:		
Proceeds on line-of-credit, net	34,300	185,000
Principal payment on long-term debt, and other	(22,644)	(21,472)
Proceeds from issuance of long-term debt	253,030	-
Deferred financing costs	(2,098)	(568)
Redemption of long-term debt	(78,910)	-
Donor restricted contributions received	67,649	65,278
Proceeds from sale of donated securities with restrictions	16,340	9,032
Restricted investment return	(9,368)	(8,976)
Net cash provided by financing activities	258,299	228,294
Net decrease in cash, cash equivalents, and restricted cash	(212,382)	(256,018)
Cash, cash equivalents and restricted cash at beginning of year	621,606	877,624
Cash, cash equivalents and restricted cash at end of year	\$ 409,224	\$ 621,606
Supplemental Disclosures:		
Cash paid for interest	\$ 56,537	\$ 46,994
Capital in accounts payable and accrued expenses	\$ 18,058	\$ 19,187
Lease liabilities increase from recognizing right-of-use assets	\$ 33,997	\$ 22,103

See accompanying notes to consolidated financial statements.

Texas Children's
Notes to the Consolidated Financial Statements

(Dollars in thousands)

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1. ORGANIZATION AND BASIS OF PRESENTATION

The consolidated financial statements of Texas Children's include the entities described below. Intercompany balances and transactions have been eliminated in consolidation.

Texas Children's Hospital (TCH) primarily provides direct patient care and conducts educational and research activities within Houston and its surrounding communities. It is comprised of a 626 licensed-bed comprehensive tertiary care pediatric facility and a 119 licensed-bed facility, providing obstetrics and gynecological care, both located in Houston's Texas Medical Center (Medical Center), an 86 licensed-bed full-service pediatric facility located in west Houston, and a 74 licensed-bed full-service pediatric facility located in The Woodlands. Beginning in February 2024, TCH opened and began services of a 52 licensed-bed comprehensive pediatric, obstetric, and gynecological care facility located in the North Austin area.

Texas Children's Pediatrics (TCP) is a group of pediatric practices that provide primary care services and conduct educational activities. It acquires, manages, and affiliates with pediatric practices primarily in Houston and Austin and their surrounding counties.

Texas Children's Urgent Care (TCUC) is a group of clinics that provides pediatric urgent care primarily in Houston and Austin and their surrounding counties.

Texas Children's Health Plan, Inc. (TCHP) operates a health maintenance organization (HMO), the first of its kind for pediatrics in the nation, and has a Certificate of Authority from the Texas Department of Insurance. It improves the quality, cost, and access of pediatric and obstetrical services delivered to health plan members in its service area.

Texas Children's Health Plan, Inc. – The Center for Children and Women (the Centers) operates two patient and family-centered primary care medical homes for TCHP's members. The Centers are designed to address the shortage of primary care for the Medicaid and Children's Health Insurance (CHIP) populations. In October 2023, the TCHP Board of Directors and the Centers Board of Directors approved the ceasing of operations in fiscal year 2024. On June 28, 2024, the Centers ceased operations.

TCH Insurance Company, Ltd. (TCHICO), a captive Cayman Islands company, provides primary and excess professional and general liability coverage, as well as property coverage, by issuing insurance policies covering Texas Children's and its affiliates. TCHICO has been issued a Class B(i) license as an insurer and is regulated by the Insurance Division of the Cayman Islands Monetary Authority.

Texas Children's Hospital Foundation (TCHF) is operated for charitable, scientific, and educational purposes and, in accomplishment of such purposes, is administered solely for the benefit of TCH.

Texas Children's Physician Group (TCPG) provides services in support of Texas Children's for Baylor College of Medicine (Baylor) faculty and other affiliated health care professionals who provide services at Texas Children's or participate in Texas Children's programs.

Texas Children's Global (TCG) is operated for the purposes of consolidating Texas Children's global initiatives. TCG began operating as of October 1, 2023.

The Gordon and Mary Cain Pediatric Neurology Research Foundation (Cain Foundation) supports scientific and educational purposes with respect to pediatric neurological disorders, solely for the benefit of TCH.

Texas Children's is the sole corporate member of TCH, TCP, TCHP, TCHF, TCPG, TCG, and Cain Foundation and is the sole shareholder of TCHICO. TCP is the sole corporate member of TCUC, and TCHP is the sole corporate member of the Centers.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

USE OF ESTIMATES

The preparation of consolidated financial statements in conformity with accounting principles generally accepted in the United States requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities, disclosure of contingent assets and liabilities at the date of the consolidated financial statements, and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

CASH, CASH EQUIVALENTS, AND RESTRICTED CASH

Texas Children's considers all highly liquid investments with an initial maturity of three months or less to be cash equivalents, except those subject to restrictions, which are reported as assets limited as to use in the consolidated balance sheets. Amounts included in restricted cash include contractually obligated assets held by the bond trustee and swap collateral.

Cash, cash equivalents and restricted cash as reported in the consolidated statements of cash flows are presented separately within the consolidated balance sheets as follows:

	September 30, 2024	September 30, 2023
Cash and cash equivalents	\$ 236,793	\$ 569,642
Assets limited as to use, current portion (1)	53,941	51,964
Bond proceeds (2)	118,490	-
Total cash, cash equivalents and restricted cash	\$ 409,224	\$ 621,606

- (1) Assets limited as to use, current portion includes restricted cash of \$16,809 and \$16,335 as of September 30, 2024 and 2023, respectively.
- (2) Bond proceeds of \$118,490 and \$0 as of September 30, 2024 and 2023, respectively, are included in assets limited as to use in the consolidated balance sheets.

PATIENT ACCOUNTS RECEIVABLE AND ACCRUED THIRD-PARTY PAYOR LIABILITIES

Patient accounts receivable include reductions for explicit contractual agreements, discounts provided to uninsured and underinsured patients, implicit price concessions, and charity adjustments and are recorded on an accrual basis at net realizable value in the consolidated balance sheets. The estimate of patient accounts receivable is based primarily on Texas Children's historical collection and write-off experience and the aging of patient accounts receivables. Changes in business and economic conditions, trends in federal, state and private employer health care coverage, and other collection indicators are also taken into consideration when estimating price concessions.

In assessing collectability, Texas Children's has elected the portfolio approach due to the large volume of similar contracts with similar classes of customers. Texas Children's reasonably expects that the effect of applying a portfolio approach to a group of contracts would not differ materially from considering each contract separately. The portfolios consist of particular payors and major payor classes by inpatient and outpatient service lines. As a result, aggregating all of the contracts (which are at the patient level) by the particular payor or group of payors, will result in the recognition of materially the same amount of revenue as applying the analysis at the individual patient level.

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Amounts receivable or payable under TCH reimbursement agreements with the Medicaid and Medicare programs are subject to examination and retroactive adjustment. TCH's third-party payor balances are impacted by changes in previous estimates as a result of tentative and final settlements, closure on years that are no longer subject to audits, resolution of reviews and investigations, and prior-year retroactive adjustments. Provisions for estimated retroactive adjustments under such programs are provided in the period the related services are rendered, and adjusted in future periods as final settlements are determined. It is reasonably possible that the recorded estimates may change in the near term. Final settlement has been made for Medicare and Medicaid claims through fiscal year ended September 30, 2022.

INVESTMENTS AND INVESTMENT RETURN

Investments consist of fixed income securities, marketable equity securities, interests in mutual funds, common trust funds, and exchange-traded funds that, in turn, invest in marketable securities. Additionally, TCH, TCHF, and Cain Foundation hold ownership interests in certain limited liability partnerships and corporations that hold investments in hedge funds and private equity (alternative investments), real estate, managed futures, natural resources, and other investment categories.

Investments are reflected in the consolidated balance sheets as investments, or assets limited as to use. Assets limited as to use represent investments limited for specific purposes. Investments and assets limited as to use are classified as noncurrent assets, except for those required for current obligations, which are classified as current assets.

The Company's Investment Committee establishes guidelines for investment decisions. Within those guidelines, the Company invests in certain equity and debt securities which are measured at fair value and are classified as trading securities. Investments in marketable securities, fixed income securities, certain mutual funds, and exchange-traded funds with readily determinable fair values are reported at fair value. Investments in common trust funds and limited liability partnerships and corporations that do not have readily determinable fair values are recorded based on Texas Children's share of the underlying value of portfolio securities held by these funds, as reported to Texas Children's. Alternative investment positions are recorded at amounts as reported by the related investment managers. Alternative investments are accounted for under the equity method of accounting. Under this method, the equity in earnings includes changes in reported values in the underlying investments. Generally, the underlying investments are not readily marketable and the alternative investments may not be redeemable except in certain circumstances, and there can be no assurance that reported amounts will be ultimately realized.

Investment return includes interest and dividend income, realized and unrealized investment gains and losses, and earnings from investments accounted for under the equity method. Investment income on assets held for TCHICO is included in other operating revenues. All other investment return is recorded as nonoperating gains (losses) and is included in revenues and gains in excess of expenses and losses, unless investment return is restricted by donor or law. Investment return is initially recorded as net assets without donor restrictions or net assets with donor restrictions based on donor-imposed restrictions, if any. Restricted amounts are reflected as net assets released from restrictions in the consolidated statements of operations and changes in net assets to the extent they become available for use during the period.

Investment-related receivables primarily include receivables from brokers for unsettled trades and receivables from counterparties for forward and spot exchange contracts. Investment-related accrued expenses primarily include payables to brokers for unsettled trades and payables to counterparties for forward and spot exchange contracts.

PROPERTY AND EQUIPMENT

Property and equipment are stated at cost. Donated property and equipment are recorded at fair value at the date of donation, which is then treated as cost. Depreciation of property and equipment is calculated using the straight-line method over the estimated useful lives of the assets. Property and equipment under finance lease obligations are amortized using the straight-line method over the shorter period of either the lease term or the asset's estimated useful life.

IMPAIRMENT OF LONG-LIVED ASSETS

When events or changes in circumstances indicate the carrying amount of property and equipment and intangible or other long-lived assets related to specifically acquired assets may not be recoverable, an evaluation of the recoverability of currently recorded costs is performed. When an evaluation is performed, the estimated value of undiscounted future net cash flows associated with the asset is compared to the asset's carrying value to determine whether a write-down to fair value is required. If such assets are considered to be impaired, the impairment to be recognized is measured by the amount by which the carrying amount of the assets exceeds the fair value of the assets. Texas Children's did not recognize any material impairment of long-lived assets for the twelve months ended September 30, 2024 or 2023.

OTHER ASSETS

Other assets primarily include prepaid expenses, pledges, inventory, and right-of-use assets related to operating leases.

Prepaid expenses consist of prepaid mission support, insurance, and other prepaids. As of September 30, 2024 and 2023, Texas Children's had prepaid expenses of \$228,781 and \$186,332, respectively.

Pledges, less a provision for uncollectible amounts, are recorded as other assets in the year made. Unrestricted pledges are recorded as contributions within other operating revenues and restricted pledges are recorded as increases in net assets with donor restrictions depending on the donor restrictions received with the pledge. Pledges receivable represent unconditional promises to give and are primarily restricted for patient care, research and specific capital campaigns. Noncurrent pledges receivable have been discounted to their present value. Pledges receivable, net of discounts and allowances, are included in other current or other assets in the consolidated balance sheets. Refer to Footnote 6.

Inventories are stated at the lower of cost or net realizable value utilizing the first-in, first-out valuation method, and are included in other current assets in the consolidated balance sheets. As of September 30, 2024 and 2023, Texas Children's had inventory of \$43,914 and \$43,849, respectively.

Right-of-use assets represent Texas Children's right to use underlying assets for a lease term, and are recognized at the lease commencement date based on the present value of lease payments over the lease term and are included in other assets in the consolidated balance sheets. Refer to Footnote 10.

INSURANCE PROGRAM

Texas Children's is self-insured for professional and general liability insurance and maintains excess liability insurance coverage at varying levels. A provision is made for estimated losses and related expenses for risks not covered by insurance. This provision includes estimated amounts for asserted claims, reported incidents for which a claim has not been asserted, and claims incurred but not reported. The provision is based on specific claim loss estimates by

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management and on estimates of total annual losses by an independent actuary taking into consideration the estimated future rate of inflation, using Texas Children's experience and similar industry experience.

PREMIUM REVENUES

TCHP earns premium revenue from the state-funded Medicaid STAR, STAR Kids and CHIP programs. Premium revenue was derived from the various programs as follows:

	Year Ended September 30,	
	2024	2023
Medicaid STAR	68%	70%
Medicaid STAR Kids	29%	28%
CHIP	3%	2%
Total	100%	100%

TCHP recognizes revenue during the coverage period of the member agreement. Under these agreements, TCHP receives monthly payments based on the number of members, regardless of actual medical claims incurred.

TCHP experience rebate accruals are included in other current assets and accounts payable and accrued expenses in the consolidated balance sheets and are as follows:

	As of September 30,	
	2024	2023
Experience rebate receivable (1)	\$ 46,118	\$ 9,739
Experience rebate liability	\$ -	\$ (215,499)

- (1) Experience rebate receivable of \$46,118 and \$9,739 as of September 30, 2024 and 2023, respectively, due to the over-payment of state fiscal year 2022 experience rebate due to revised HHSC directed payment program reconciliation, resulting in additional medical expense.

In February 2023, TCHP submitted a bid to a Request for Proposal (RFP) from HHSC for the STAR (Medicaid) and CHIP products for the contract period commencing September 1, 2025. On March 7, 2024, HHSC issued the Notice of Intent to Award (NOIA) contracts and TCHP did not receive an award. TCHP timely submitted a protest to the NOIA on March 21, 2024. The protest was denied and TCHP submitted an appeal on June 21, 2024. TCHP filed two lawsuits in Travis County against HHSC related to this procurement. The first was filed on April 24, 2024, for violation of the Public Information Act related to the STAR CHIP procurement. The second lawsuit was filed on June 20, 2024. On October 4, 2024, the Travis County District Judge granted a temporary injunction, ruling that HHSC is not allowed to sign and execute contracts with the health plans listed on the NOIA until the final judgment on the merits and legality of the procurement has been determined. The trial on those merits has been set for November 3, 2025. Following the injunction being granted, HHSC filed an interlocutory appeal. The Texas 15th Court of Appeals granted a joint Motion to Abate suspending any appellate procedures until after the Texas legislative session.

CONTRIBUTIONS

Texas Children's records unconditional contributions, including promises to contribute, as revenue when the commitment is received. Conditional contributions are recognized as revenue when the conditions on which they depend have been substantially met. Texas Children's reports gifts of cash and other assets as restricted support if they are received with donor restrictions that limit the use of the donated assets. When a donor restriction expires, that is, when a time restriction ends or purpose restriction is accomplished, net assets with donor restrictions are

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reclassified to net assets without donor restrictions and reported in the consolidated statements of operations and changes in net assets as net assets released from restrictions.

MEDICAL CLAIMS EXPENSES

TCHP contracts with various health care providers for the provision of pediatric medical care to its members. TCHP compensates hospitals on either a payment methodology utilizing the All Patient Refined Diagnosis Related Group (APR-DRG) classification system, discounted fee-for-service or per diem basis. TCHP compensates physicians and other health care providers on a capitated basis or a discounted fee-for-service basis.

The cost to TCHP for health care services provided by contracted providers is accrued in the period in which it is provided to a member, based in part on estimates, including accruals for medical services provided but not billed, and estimates of claims incurred but not yet reported to TCHP, based on actuarial valuations. The methods utilized in determining estimates are continually reviewed, and any changes in estimates are reflected prospectively. As of September 30, 2024 and 2023, recorded IBNR accruals were \$135,986 and \$113,116, respectively, and are included in accounts payable and accrued expenses in the consolidated balance sheets.

TCHP medical claims expenses include a premium deficiency reserve for anticipated losses for the remainder of the contract period. Premium deficiency reserves and the related expense are recognized when it is probable that expected future health care and maintenance costs under a group of existing contracts will exceed anticipated future premiums over the contract period. The level at which the contracts are grouped for evaluation purposes is by program. As of September 30, 2024 and September 30, 2023, TCHP recorded premium deficiency reserve of \$78,034 and \$0, respectively, which is included within accounts payable and accrued expenses in the consolidated balance sheets.

INTEREST EXPENSE

Interest expense includes the interest associated with Texas Children's debt, outstanding line of credit, net cash settlement activity related to interest rate swaps, and interest related to finance leases.

INCOME TAXES

All Texas Children's entities are exempt from federal taxes under Section 501(c)(3) of the Internal Revenue Code, except for TCHICO, which is a taxable for-profit entity domiciled in the Cayman Islands. Management annually reviews its tax positions and has determined that there are no material uncertain tax positions that require recognition in the accompanying consolidated balance sheets as of September 30, 2024 and 2023.

PERFORMANCE INDICATOR

The consolidated statement of operations and changes in net assets include revenue and gains in excess of expenses and losses, which represents Texas Children's performance indicator. Changes in net assets for contributions for capital expenditures, restricted contributions, and unfunded pension obligations other than net periodic pension costs are excluded from revenue and gains in excess of expenses and losses.

NEW ACCOUNTING PRONOUNCEMENTS

In June 2016, the FASB issued ASU 2016-13, Financial Instruments-Credit Losses (Topic 326): Measurement of Credit Losses on Financial Instruments. The amendments in the ASU and subsequent related ASU's require financial assets measured at amortized cost basis to be presented as the net amount expected to be collected, which includes a reduction for any expected credit losses. Expected credit losses are to be estimated based on relevant information about historical events, current conditions and reasonable and supportable forecasts to estimate future expected credit losses. ASU 2016-13 is applicable to credit losses and allowances on loans, trade receivables, off-balance-sheet credit exposure and certain other financial assets, but excludes investments recorded at fair value, available-for-sale debt securities, contributions receivables, equity method investments and derivatives. ASU 2016-13 is effective for fiscal years beginning after December 15, 2022, including interim periods thereafter. Texas Children's adopted ASU 2016-03 on October 1, 2023 utilizing the modified retrospective transition method and there was not a material impact on the consolidated financial statements.

3. LIQUIDITY AND AVAILABILITY OF FINANCIAL ASSETS

Texas Children's has a practice of structuring its financial assets to be available as its general expenditures, liabilities, and other obligations come due. In addition, as part of its liquidity management practices, Texas Children's invests cash in excess of daily requirements in various short-term highly liquid investments. To assist with working capital liquidity, TCH also has committed lines of credit in the amount of \$500,000.

Texas Children's endowment funds consist of donor-restricted endowments and Board-designated quasi-endowments. Income from donor-restricted endowments is restricted for specific purposes. Therefore, it is not available for general expenditure and is not included in total financial assets available to meet cash needs. Although Texas Children's does not intend to spend from its quasi-endowments, other than amounts distributed, quasi-endowment funds could be made available, if necessary and therefore included in total financial assets available to meet cash needs.

Texas Children's financial assets available within one year of the consolidated balance sheet date available for general expenditure are as follows:

	September 30, 2024	September 30, 2023
Cash and cash equivalents	\$ 236,793	\$ 569,642
Patient accounts receivable	705,000	538,209
Receivable for Medicaid and other supplemental reimbursements	26,612	145,959
Other receivables	259,931	171,564
Investments	3,741,552	3,694,334
Total financial assets	<u>\$ 4,969,888</u>	<u>\$ 5,119,708</u>
Less: restricted financial assets:		
Investments with liquidity more than a year	\$ 2,409,750	\$ 2,271,571
Funds restricted by donor	410,405	351,308
Total restricted financial assets	<u>\$ 2,820,155</u>	<u>\$ 2,622,879</u>
Financial assets available to meet cash needs for general expenditures within one year	<u>\$ 2,149,733</u>	<u>\$ 2,496,829</u>

Texas Children's
Notes to the Consolidated Financial Statements

(Dollars in thousands)

4. INVESTMENTS AND INVESTMENT RETURN

Investments are included on the consolidated balance sheets as follows:

	September 30, 2024	September 30, 2023
Investments	\$ 3,741,552	\$ 3,694,334
Assets limited as to use:		
Assets held by bond trustee (1)	172,432	69,928
Assets held for insurance program	96,700	84,098
Assets restricted under statutory requirements	3,000	3,000
Beneficial interest in supporting foundations	375	372
Total assets limited as to use	272,507	157,398
Total investments and assets limited as to use	\$ 4,014,059	\$ 3,851,732

(1) Assets held by bond trustee includes contractually obligated restricted cash of \$16,809 and \$16,335 and bond proceeds of \$118,490 and \$0 as of September 30, 2024 and 2023, respectively.

Investments, including assets limited as to use, include the following:

	September 30, 2024	September 30, 2023
Cash and cash equivalents	\$ 172,431	\$ 69,928
U.S. government fixed income securities	343,291	550,042
U.S. government agency securities	144,194	111,875
Municipal government securities	2,646	3,951
Foreign government fixed income securities	3,825	10,235
Corporate fixed income securities	480,408	511,796
Domestic equity securities	256,635	301,564
International equity securities	23,575	20,399
Alternative investments	2,586,660	2,271,552
Other	394	390
Total	\$ 4,014,059	\$ 3,851,732

INVESTMENT RISKS

Texas Children's investments are subject to various types of risks, as described below:

FIXED INCOME SECURITIES

This investment class includes investments in various fixed income instruments that include investment-grade and high-yield domestic and international bonds, preferred stocks, mortgage pools, and bonds issued by U.S. government agencies. This investment class also includes investments in common trust funds, mutual funds, and exchange-traded

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funds that hold investments in fixed income securities. The fixed income investments are exposed to various kinds and levels of risk, including interest rate risk, credit risk, foreign exchange risk, and liquidity risk.

EQUITY SECURITIES

This investment class consists primarily of common equity securities of domestic and international companies. These securities trade through the major public domestic and international exchanges. This investment class also includes investments in common trust funds, mutual funds, and exchange-traded funds that hold investments in equity securities. The equity securities investments are exposed to various kinds and levels of risk, including market risk, individual security risk, foreign exchange risk and, for common equity of companies with a small market capitalization, liquidity risk.

ALTERNATIVE INVESTMENTS

Alternative investments are domestic and international in nature and are invested with external investment managers who invest in a wide range of categories including equity, fixed income, real estate, long and short equity positions, natural resources, private equity, managed futures, distressed enterprises, and arbitrage positions. This investment class is subject to numerous risks that could lead to a greater likelihood of invested capital loss. Such risks include the following:

- **NON-REGULATION RISK** – These funds are not required to register with the U.S. Securities and Exchange Commission (SEC) and are not subject to regulatory controls. However, many of the alternative investment fund managers through which Texas Children's invest are SEC registered investment advisers.
- **LIMITED TRANSPARENCY** – As unregistered investment vehicles, funds are not required to disclose the holdings in their portfolios to investors.
- **INVESTMENT STRATEGY RISK** – The funds often employ sophisticated, complex investment strategies and may include speculative strategies or strategies that use leverage, which could result in volatile returns.
- **MINIMAL LIQUIDITY** – Many funds impose lock-up periods that prevent investors from redeeming their shares or impose penalties to redeem. The lock-up provisions of each investment vary but, when applicable, generally range from twelve months to three years. Notice requirements typically vary from fifteen to ninety days prior to the redemption date. In addition, private equity investments (a category of alternative investments) are self-liquidating entities that typically have terms of ten years or more.

FAIR VALUE OF FINANCIAL INSTRUMENTS

Texas Children's uses various inputs in determining the fair value of its investments and measures these assets on a quarterly basis. Financial assets and liabilities recorded at fair value in the consolidated balance sheets are categorized by the level of objectivity associated with the inputs used to measure their fair value. Authoritative guidance establishes a three-level hierarchy for disclosure of fair value measurements. The valuation hierarchy is based on the transparency of inputs to the valuation of an asset or liability as of the measurement date.

The three levels are defined as follows:

- **LEVEL 1** – Inputs to the valuation methodology are quoted prices (unadjusted) in active markets for identical assets or liabilities at the measurement date.

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- LEVEL 2 – Inputs to the valuation methodology include quoted prices for similar assets and liabilities in active markets, and inputs that are observable for the asset or liability, either directly or indirectly, for substantially the full term of the financial instrument.
- LEVEL 3 – Inputs to the valuation methodology are unobservable and significant to the fair value measurement.

The input or methodology used for valuing securities are not necessarily an indication of the risk associated with investing in those securities. The following tables present the financial instruments carried at fair value as of September 30, 2024 and 2023, by caption and by the valuation hierarchy (as described above). The following tables do not include alternative investments and other investments as they are accounted for using the equity method of accounting.

Money market mutual funds that are included in cash and cash equivalents in the consolidated balance sheets are included in cash and cash equivalents in the tables. As of September 30, 2024 and 2023, Texas Children's had \$155,020 and \$468,821, respectively, in money market mutual funds. Derivative financial instruments that are included in investment-related receivables, investment-related accrued expenses and interest rate swaps in the consolidated balance sheets are also included in the tables.

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FINANCIAL ASSETS AND LIABILITIES AT FAIR VALUE

as of September 30, 2024

	Level 1	Level 2	Level 3	Total
ASSETS				
Investments:				
Cash and cash equivalents	\$ 327,451	\$ -	\$ -	\$ 327,451
Derivative financial instruments	-	28,030	-	28,030
U.S. government fixed income securities	1,509	341,781	-	343,290
U.S. government agency securities	-	144,194	-	144,194
Municipal government securities	-	2,646	-	2,646
Foreign government fixed income securities	-	3,825	-	3,825
Corporate fixed income securities	-	480,408	-	480,408
Domestic equity securities	256,635	-	-	256,635
International equity securities	23,576	-	-	23,576
Interest rate swap agreement	-	4,156	-	4,156
Total assets at fair value	\$ 609,171	\$ 1,005,040	\$ -	\$ 1,614,211

LIABILITIES

Derivative financial instruments	\$ -	\$ 25,865	\$ -	\$ 25,865
Interest rate swap agreement	-	12,530	-	12,530
Total liabilities at fair value	\$ -	\$ 38,395	\$ -	\$ 38,395

FINANCIAL ASSETS AND LIABILITIES AT FAIR VALUE

as of September 30, 2023

	Level 1	Level 2	Level 3	Total
ASSETS				
Investments:				
Cash and cash equivalents	\$ 538,749	\$ -	\$ -	\$ 538,749
Derivative financial instruments	-	46,839	-	46,839
U.S. government fixed income securities	31,109	518,933	-	550,042
U.S. government agency securities	-	111,875	-	111,875
Municipal government securities	-	3,951	-	3,951
Foreign government fixed income securities	-	10,235	-	10,235
Corporate fixed income securities	-	511,796	-	511,796
Domestic equity securities	301,564	-	-	301,564
International equity securities	20,399	-	-	20,399
Interest rate swap agreement	-	9,181	-	9,181
Total assets at fair value	\$ 891,821	\$ 1,212,810	\$ -	\$ 2,104,631
LIABILITIES				
Derivative financial instruments	\$ -	\$ 45,838	\$ -	\$ 45,838
Interest rate swap agreement	-	6,558	-	6,558
Total liabilities at fair value	\$ -	\$ 52,396	\$ -	\$ 52,396

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INSTRUMENTS NOT MEASURED AT FAIR VALUE

As of September 30, 2024 and 2023, Texas Children's financial instruments included cash and cash equivalents, other current assets, assets limited as to use, accounts payable and accrued expenses, estimated third-party payor settlements, and long-term debt. The carrying amounts reported in the consolidated balance sheets for these financial instruments, except for long-term debt, approximate their fair values.

Alternative investments are accounted for under the equity method of accounting. As of September 30, 2024 and 2023, Texas Children's had \$2,587,054 and \$2,271,942, respectively, in alternative investments and other investments, and had committed approximately \$276,700 of future funding to various alternative investments as of September 30, 2024.

SUMMARY OF INVESTMENT RETURNS

	Year Ended	
	September 30, 2024	September 30, 2023
Without donor restrictions:		
Dividends and interest, net of investment expenses	\$ 56,325	\$ 60,379
Net unrealized gains	122,165	53,075
Net realized (losses)	(14,218)	(6,220)
Equity in gains of alternative investments, not measured at fair value:		
Net unrealized gains	312,049	117,183
Net realized gains	19,524	40,406
Total without donor restrictions investment return	\$ 495,845	\$ 264,823
With donor restrictions:		
Dividends and interest, net of investment expenses	\$ 10,379	\$ 7,317
Net unrealized gains	8,543	342
Net realized (losses)	(2,670)	(1,708)
Equity in gains of alternative investments, not measured at fair value:		
Net unrealized gains	25,579	9,830
Net realized gains	1,659	3,368
Total with donor restrictions investment return	\$ 43,490	\$ 19,149

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5. PROPERTY AND EQUIPMENT

Property and equipment, by major category, are as follows:

	September 30, 2024	September 30, 2023
Land and land improvements	\$ 160,379	\$ 159,244
Improvements to leased facilities	142,068	149,353
Buildings	1,773,066	1,541,737
Buildings under operating leases	159,821	158,396
Building and movable equipment under finance lease obligation	28,669	28,668
Fixed equipment	1,184,846	1,017,556
Movable equipment	919,278	795,473
Software	137,668	139,186
	<u>4,505,795</u>	<u>3,989,613</u>
Less accumulated depreciation	(2,214,393)	(2,107,322)
	<u>2,291,402</u>	<u>1,882,291</u>
Construction in progress	153,799	505,046
Net property and equipment	<u>\$ 2,445,201</u>	<u>\$ 2,387,337</u>

TCH had remaining commitments of \$135,761 and \$180,360 on open construction and equipment contracts as of September 30, 2024 and 2023, respectively.

6. PLEDGES AND CONTRIBUTIONS

Pledges receivable are expected to be realized as follows:

	September 30, 2024	September 30, 2023
In one year or less	\$ 36,547	\$ 44,470
Between one year and five years	64,628	57,825
More than five years	33,908	48,065
Total pledges	<u>135,083</u>	<u>150,360</u>
Less present value discount	(13,812)	(16,592)
Less allowance for doubtful pledges	(11,316)	(13,230)
Net pledges receivable	<u>\$ 109,955</u>	<u>\$ 120,538</u>

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7. Borrowings

DEBT

Debt obligations are as follows:

	September 30, 2024	September 30, 2023
TCH Revenue Bonds:		
Series 2015-1	\$ 119,745	\$ 132,780
Series 2015-2	50,000	50,000
Series 2015-3	110,000	110,000
Series 2019A	112,765	122,000
Series 2019B	-	78,910
Series 2021A	264,085	264,085
Series 2021B	74,340	74,340
Series 2021C	100,000	100,000
Series 2021D	89,525	89,800
Series 2024A	226,465	-
Total TCH Revenue Bonds	1,146,925	1,021,915
Plus net premium on debt	77,942	64,403
Less current portion of long-term debt	(23,805)	(22,545)
Net of bond issuance cost	(7,449)	(6,406)
Total long-term debt obligations	\$ 1,193,613	\$ 1,057,367

As of September 30, 2024, the annual maturities based on the scheduled maturities of long-term debt for the next five fiscal years and thereafter are as follows:

YEAR	AMOUNT
2025	\$ 23,805
2026	25,090
2027	26,470
2028	27,300
2029	28,275
Thereafter	1,015,985

In 2015, 2019, 2021, and 2024, Hospital Revenue Bonds were issued in several series by the Harris County Cultural Education Facilities Finance Corporation under loan agreements with TCH. TCH and TCHF are currently the only members of the Obligated Group (each member of the Obligated Group is jointly and severally obligated to pay the debt). In 2014, TCH issued its Special Obligation Taxable Refunding Bond Series 2014 ("Series 2014").

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On September 24, 2024, the Harris County Cultural Education Facilities Finance Corporation issued Hospital Revenue Bonds Series 2024A ("Series 2024A") in the aggregate principal amount of \$226,465 under loan agreements with TCH. TCH used a portion of the proceeds to pay the cost of refunding and redeeming the Series 2019B Bonds for the outstanding principal amount of \$78,910. TCH will use the remaining proceeds to finance and reimburse, in whole and in part, costs of the construction, acquisition, equipping, renovation and expansion of health care and related support facilities of TCH or one of more of its affiliates.

The following bond series are defeased. They are no longer the obligation of TCH and are not included in the consolidated financial statements at September 30, 2024:

LEGALLY DEFEASED BONDS

	SERIES 2014	Series 2019B
Issued Amount	\$91,985	\$78,910
Fiscal Year Defeased	2015	2024
Final Maturity Date	October 1, 2029	October 1, 2041
Outstanding Balance	\$38,195	\$78,910

The following bond series are outstanding:

VARIABLE RATE BONDS

	SERIES 2015-2	SERIES 2015-3	SERIES 2021C	SERIES 2021D
Issued Amount	\$50,000	\$110,000	\$100,000	\$90,350
Type	VRDB	VRDB	VRDB	Direct Purchase
Average Interest Rate 2024	3.47%	3.47%	3.14%	3.87%
Average Interest Rate 2023	3.27%	3.27%	2.75%	3.45%
Mandatory Tender Date	March 21, 2028	March 21, 2028	-	July 20, 2027
Final Maturity Date	October 1, 2045	October 1, 2045	October 1, 2041	October 1, 2041

The Bond Series 2015-2 and Series 2015-3 are variable rate demand bonds that bear interest in the Weekly Interest Rate Period from the Window Interest Rate Period and the Index Floating Rate Period, respectively, as well as entered into remarketing agreements to remarket both bond series. In conjunction with this conversion, TCH entered into reimbursement agreements for both bond series that provide direct pay letters of credit for the payment of principal, interest as well as bonds tendered for purchase and not remarketed. Both direct pay letters of credit expire March 21, 2028. As such, Bond Series 2015-2 and 2015-3 are considered long-term debt.

Series 2021C are backed by a Standby Bond Purchase Agreement ("SBPA") with Bank of America. The SBPA expires on July 26, 2026. In the event that bonds bearing interest at a daily rate are not successfully remarketed or if funds are not available for remarketing, Bank of America will pay the purchase price for debt that is tendered. As such, Series 2021C are considered long-term debt.

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(Dollars in thousands)

The interest rate for Series 2015-2, Series 2015-3, and Series 2021C exclude fees related to the remarketing agents.

FIXED RATE BONDS

	SERIES 2015-1	SERIES 2019A	Series 2021A	SERIES 2021B	Series 2024A
Issued Amount	\$ 195,720	\$ 157,255	\$ 264,085	\$ 74,340	\$ 226,465
Original Premium	\$ 30,013	\$ 22,381	\$ 34,341	\$ 26,272	\$ 26,480
Interest Rate	4.00% - 5.00%	3.00% - 5.00%	2.38%-5.00%	5.00%	5.00%
Interest Payment Frequency	Semiannually	Semiannually	Semiannually	Semiannually	Semiannually
Mandatory Tender Date	-	-	-	October 1, 2031	
Final Maturity Date	October 1, 2034	October 1, 2039	October 1, 2051	October 1, 2051	October 1, 2031

TCH may redeem the Hospital Revenue Bonds Series 2015-1 ("Series 2015-1") with a stated maturity on and after October 1, 2026, in whole or in part on any date after October 1, 2025, at par plus accrued and unpaid interest.

TCH may redeem the Hospital Revenue Bonds Series 2019A ("Series 2019A") with a stated maturity on and after October 1, 2035, in whole or in part on any date after October 1, 2029, at par plus accrued and unpaid interest.

TCH may redeem the Hospital Revenue Bonds Series 2021A ("Series 2021A") with a stated maturity on and after October 1, 2032, in whole or in part on any date after October 1, 2031, at par plus accrued and unpaid interest.

Series 2024A does not have an early redemption option.

LINE OF CREDIT

TCH has three revolving line of credit agreements with commercial banks for working capital needs that permit TCH to borrow up to \$500,000. Borrowings are drawn as a required and repaid as operating funds become available. The following table summarizes the agreements as of September 30, 2024:

	Agreement 1	Agreement 2	Agreement 3
Available Funds	\$200,000	\$200,000	\$100,000
Interest Rate	SOFR plus spread	SOFR plus spread	SOFR plus spread
Funds borrowed at September 30, 2024	\$0	\$196,300	\$70,000
Funds borrowed at September 30, 2023	\$32,000	\$200,000	\$0

On July 10, 2024, TCH entered into a new three year line of credit agreement with a commercial bank that permits TCH to borrow up to \$100,000. On July 10, 2024, and August 2, 2024, TCH extended two line of credits with commercial banks for an additional two years and three years, respectively, with a borrowing capacity up to \$200,000 per bank.

8. DERIVATIVE FINANCIAL INSTRUMENTS

INTEREST RATE SWAPS

Texas Children's utilizes interest rate swap agreements to manage its interest rate exposure on its Series 2021C and Series 2021D bonds. As of September 30, 2024 and 2023, the fair value of the 2021C swap agreement was a liability of \$12,530 and \$6,558, respectively, and is included in other long-term liabilities in the consolidated balance sheets. As of September 30, 2024 and 2023, the fair value of the 2021D swap agreement was an asset of \$4,156 and \$9,181, respectively, and is included in other assets in the consolidated balance sheets. Changes in the fair value of Texas Children's swaps are recorded as non-operating gains (losses) and included in revenues and gains in excess of expenses and losses. For the twelve months ended September 30, 2024 and 2023, the change in fair value resulted in a loss of \$10,998 and a gain of \$8,825, respectively.

TCH has the option to terminate both swap transactions in whole or in part with cash settlement. TCH may be required to post collateral to secure obligations that would be owed to the counterparty under such transaction if terminated, regardless of whether such transaction is actually terminated. TCH has complied with these provisions as required. TCH does not offset the fair value of the derivative financial instrument and fair value of any collateral posted. The collateral is reflected in the consolidated balance sheets within assets limited as to use, current portion.

The following table summarizes the agreements as of September 30, 2024:

	Series 2021C	Series 2021D
Notional amount	\$100,000	\$89,525
Expiration date	October 1, 2041	October 1, 2041
Fixed rate TCH pays to counterparty	3.657% of the notional amount	1.834% of the notional amount
Variable rate TCH receives from counterparty	67% of the U.S. dollar one-month SOFR rate	67% of the U.S. dollar one-month SOFR rate
TCH option to terminate with a cash settlement	Yes	Yes
Collateral threshold	\$30,000	\$50,000
Collateral posted at September 30, 2024	\$0	\$0
Collateral posted at September 30, 2023	\$0	\$0

The interest rate swap contracts between TCH and third parties (counterparties) provide for the periodic exchange of payments between the parties based on changes in a defined index and a fixed rate and exposes TCH to market risk and credit risk. Market risk is the adverse effect on the value of a financial instrument that results from a change in interest rates. The market risk associated with interest rate changes is managed by establishing and monitoring parameters that limit the types and degrees of market risk that may be undertaken. Management also mitigates risk through periodic reviews of its derivative position in the context of its blended cost of capital. Credit risk is the risk that contractual obligations of the counterparties will not be fulfilled. Counterparty credit risk is managed by requiring high credit standards for TCH's counterparties. The counterparties to the contracts are financial institutions that carry an investment-grade credit rating. TCH does not anticipate nonperformance by its counterparties.

OTHER DERIVATIVES

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(Dollars in thousands)

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Texas Children's utilizes forward and spot exchange contracts on foreign currencies as investment vehicles. Changes in the fair value of the contracts are recorded as nonoperating gains (losses) and included in revenues and gains in excess of expenses and losses.

9. EMPLOYEE BENEFIT PLANS

Texas Children's has a noncontributory cash balance pension plan covering substantially all employees. Under the plan, employees' annual pension benefits are a combination of a pay credit, which is equal to a percentage of their base pay, and an interest credit, which is equal to a percentage of their accumulated cash balance. Texas Children's funding policy is to contribute an amount at least equal to the minimum amount required under the Employee Retirement Income Security Act of 1974 (ERISA) and subsequent law changes amending ERISA.

The assumptions used in calculating the pension amounts recognized in Texas Children's consolidated financial statements include discount rates, interest crediting rates, expected return on plan assets, retirement and mortality rates, inflation rates, salary growth, and other factors. While Texas Children's believes the assumptions used are appropriate, differences in actual experience or changes in assumptions may affect future pension obligations and expenses.

Texas Children's
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The plan's funded status, amounts included in the consolidated financial statements, and the assumptions used are as follows:

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(Dollars in thousands)

	September 30, 2024	September 30, 2023
CHANGE IN PROJECTED BENEFIT OBLIGATION		
Projected benefit obligation, beginning of year	\$ 516,142	\$ 478,406
Service cost	32,748	31,046
Interest cost	28,510	24,488
Actuarial losses (gains)	37,604	(1,191)
Benefits paid	(21,727)	(16,607)
Projected benefit obligation (including \$570,120 and \$500,785 in 2024 and 2023, respectively, in accumulated benefit obligation), end of year	\$ 593,277	\$ 516,142
CHANGE IN PLAN ASSETS		
Fair value of plan assets, beginning of year	\$ 522,082	\$ 435,606
Actual return on plan assets	111,292	40,113
Employer contributions	48,150	62,970
Benefits paid	(21,727)	(16,607)
Fair value of plan assets, end of year	\$ 659,797	\$ 522,082
FUNDED STATUS		
Projected benefit obligation	\$ (593,277)	\$ (516,142)
Fair value of plan assets	659,797	522,082
Funded status recorded in other assets in the consolidated financial statements	\$ 66,520	\$ 5,940
COMPONENTS OF NET PERIODIC PENSION COST		
Service cost	\$ 32,748	\$ 31,046
Interest cost	28,510	24,488
Expected return on plan assets	(32,593)	(27,869)
Prior service cost amortization	(95)	(95)
Net periodic cost included in salaries and benefits and other nonoperating gains (losses) in the consolidated financial statements	\$ 28,570	\$ 27,570
WEIGHTED-AVERAGE ASSUMPTIONS USED TO DETERMINE BENEFIT OBLIGATIONS AT MEASUREMENT DATE		
Discount rate	4.96%	5.85%
Compensation projection rate	3.20	3.20
Additional compensation increase 2023	-	1.00
Additional compensation increase 2024	0.80	0.30
Additional compensation increase 2025	-0.20	0.80
WEIGHTED-AVERAGE ASSUMPTIONS USED TO DETERMINE NET PERIODIC PENSION COST		
Discount rate	5.85%	5.43%
Expected long-term rate of return on plan assets	6.30	6.30
Compensation projection rate	3.20	3.20
Additional compensation increase in 2022	1.00	1.00
Additional compensation increase in 2023	0.30	-
Additional compensation increase in 2024	0.80	-

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As of September 30, 2024, net assets without donor restrictions decreased by \$41,000 due to amounts arising from Texas Children's noncontributory cash balance pension plan that have not yet been recognized in net periodic pension cost.

The weighted-average asset allocation categories, target, and actual percentages for September 30 are as follows:

	TARGET	2024	2023
Global equity	55%	55%	54%
Fixed income and cash	27%	27%	27%
Absolute return	18%	18%	19%
	100%	100%	100%

The primary investment objective of the plan investments is to earn the actuarial average annual nominal rate of return assumption (inclusive of inflation), net of management fees, over long time periods (rolling ten- and fifteen-year periods). The plan investments will seek to outperform a composite of market indices reflecting the plan's asset allocation policies and perform on par with other long-term pools with broadly similar investment objectives and policies.

	ESTIMATED
Expected contributions for fiscal year 2025	\$ 37,580
Expected benefit payments for fiscal years:	
2025	69,078
2026	30,021
2027	30,894
2028	34,705
2029	34,714
Subsequent five years combined	209,425

The value of the plan assets measured at fair value on a recurring basis was determined using the inputs as described in Footnote 4 as of September 30. The tables for fiscal years 2024 and 2023 do not include alternative investments of \$408,887 and \$310,944, respectively, which are measured at fair value using net asset value as a practical expedient.

Texas Children's
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(Dollars in thousands)

FISCAL YEAR 2024	LEVEL 1	LEVEL 2	LEVEL 3	TOTAL
ASSETS				
Investments:				
Cash and cash equivalents	\$ 7,949	\$ -	\$ -	\$ 7,949
Derivative financial instruments	-	4,851	-	4,851
Domestic equity securities	67,576	-	-	67,576
International equity securities	5,303	-	-	5,303
U.S. government fixed income securities	-	88,836	-	88,836
Foreign government fixed income	-	563	-	563
Corporate fixed income securities	-	80,467	-	80,467
Total assets at fair value	\$ 80,828	\$ 174,717	\$ -	\$ 255,545
LIABILITIES				
Derivative financial instruments	\$ -	\$ 4,635	\$ -	\$ 4,635
Total liabilities at fair value	\$ -	\$ 4,635	\$ -	\$ 4,635
FISCAL YEAR 2023				
ASSETS				
Investments:				
Cash and cash equivalents	\$ 11,869	\$ -	\$ -	\$ 11,869
Derivative financial instruments	-	3,912	-	3,912
Domestic equity securities	64,390	-	-	64,390
International equity securities	4,061	-	-	4,061
U.S. government fixed income securities	-	65,798	-	65,798
Foreign government fixed income	-	-	-	-
Corporate fixed income securities	-	65,725	-	65,725
Total assets at fair value	\$ 80,320	\$ 135,435	\$ -	\$ 215,755
LIABILITIES				
Derivative financial instruments	\$ -	\$ 4,617	\$ -	\$ 4,617
Total liabilities at fair value	\$ -	\$ 4,617	\$ -	\$ 4,617

Additionally, Texas Children's maintains a tax-sheltered annuity plan that allows employees to defer a portion of their compensation through salary deductions. Texas Children's matches employee contributions to the plan, equal to 50% of an employee's elective deferral, up to a maximum of 3% of the employee's compensation on a per paycheck basis. Texas Children's expense for the matching contributions was \$35,453 and \$31,729 for the twelve months ended September 30, 2024 and 2023, respectively.

Texas Children's
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10. LEASES

LESSEE

Texas Children's operating leases are primarily for real estate, including medical office buildings, warehouse space, and other administrative offices, as well as medical and office equipment. Texas Children's determines if an arrangement is a lease at inception of the contract. Right-of-use assets represent Texas Children's right to use underlying assets for a lease term, and lease liabilities represent Texas Children's obligation to make lease payments arising from a lease. Right-of-use assets and lease liabilities are recognized at the lease commencement date based on the present value of lease payments over the lease term. Texas Children's uses an estimated incremental borrowing rate to determine the present value of lease payments. The estimated incremental borrowing rate is derived from documented rates from publicly available market data and an estimated credit spread commensurate with Texas Children's credit rating as of the lease commencement date.

The following table presents the components of the right-of-use assets and liabilities related to operating leases and their classification in the consolidated balance sheets:

<u>Operating Lease</u>	<u>Balance Sheet Classification</u>	<u>September 30, 2024</u>	<u>September 30, 2023</u>
Right-of-use assets	Other assets	\$ 112,540	\$ 112,419
Lease liabilities			
Current	Accounts payable and accrued expenses	22,555	24,947
Noncurrent	Long-term operating lease liabilities	114,800	102,457
Total lease liabilities		\$ 137,355	\$ 127,404

Lease expense is recognized on a straight-line basis over the lease term within outside purchased services in the consolidated statements of operations and changes in net assets. Operating lease expense for the twelve months ended September 30, 2024 and 2023 was \$24,998 and \$24,609, respectively.

Real estate and equipment leases typically have lease terms of ten years and two to five years, respectively. Real estate leases may include one or more options to renew, with an average extension of five years. The exercise of lease renewal options are at the sole discretion of Texas Children's. Renewal options are not considered reasonably likely to be exercised at the inception date of the lease; therefore, renewal options are generally not recognized as part of the right-of-use assets and lease liabilities.

Certain real estate leases include payments based on actual common area maintenance expenses and real estate taxes. These variable lease expenses are recognized in outside purchased services in the consolidated statements of operations and changes in net assets, and are not included in the right-of-use asset or liability balances. Variable lease expense for the twelve months ended September 30, 2024 and 2023 was \$11,027 and \$10,132, respectively. Additionally, Texas Children's lease agreements do not contain any material residual value guarantees, restrictions or covenants. Texas Children's does not record leases with an initial term of twelve months or less (short-term leases) in the consolidated balance sheets. Short-term lease expense for the twelve months ended September 30, 2024 and 2023 was \$2,419 and \$1,991, respectively.

Texas Children's
Notes to the Consolidated Financial Statements

(Dollars in thousands)

For the twelve months ended September 30, 2024 and 2023, Texas Children's had operating cash outflows from operating leases of \$36,613 and \$35,907, respectively. As of September 30, 2024 and 2023, the weighted-average remaining lease term and discount rate for operating leases was 9.6 years and 3.71%, and 9.5 years and 2.17% respectively. The following table reconciles the undiscounted cash flows to the operating lease liabilities recorded in the consolidated balance sheets:

	September 30, 2024
Undiscounted cash flows	
2024	\$ 25,927
2025	24,440
2026	21,098
2027	17,606
2028	14,966
Thereafter	51,538
Total undiscounted cash flows	<u>155,575</u>
Lease liabilities	
Short-term lease liabilities	\$ 22,555
Long-term lease liabilities	114,800
Total lease liabilities	<u>\$ 137,355</u>
Difference between undiscounted cash flows and discounted cash flows	\$ 18,220

LESSOR

Texas Children's leases the Pavilion Tower II, formerly Baylor Medical Clinic, and the Fannin Tower within the Texas Medical Center to lessees to generate a positive cash flow derived from rental income. Lease agreements typically have lease terms of ten years, and may include one or more options to renew, which would typically extend the lease term five years. The exercise of lease renewal options are at the sole discretion of the lessee. For the twelve months ended September 30, 2024 and 2023, Texas Children's recognized \$9,520 and \$12,424, respectively, of rent revenue within other operating revenue.

The following table presents the undiscounted cash flows to be received under operating leases that have initial or remaining non-cancelable lease terms in excess of one year:

	September 30, 2024
Undiscounted cash flows	
2025	\$ 8,091
2026	6,883
2027	6,305
2028	6,310
2029	5,592
Thereafter	11,899
Total undiscounted cash flows	<u>45,080</u>

11. COMMITMENTS AND CONTINGENCIES

INSURANCE PROGRAM

TCHICO is a captive insurance company that provides primary coverage for professional and general liability exposures of Texas Children's under a retrospectively rated policy, whereby the premiums are accrued based on the experience of Texas Children's. The policy also provides excess liability coverage for amounts in excess of the primary policy limits. TCH funds TCHICO's required insurance reserves. Funding amounts are based on actuarial recommendations.

As of September 30, 2024 and 2023, TCH recorded a liability of \$35,454 and \$35,074, respectively. This liability is presented as loss reserves for self-insurance program in the consolidated balance sheets. Investment income from the assets and the provision for estimated self-funded losses and administrative costs are reported in the consolidated statements of operations and changes in net assets.

Texas Children's has certain pending and threatened litigation and claims incurred in the ordinary course of business; however, management believes that the probable resolution of such contingencies will not exceed insurance coverage and self-insurance reserves and will not materially affect the consolidated financial position of Texas Children's or the results of its operations.

REGULATORY COMPLIANCE

Laws and regulations governing the Medicare and Medicaid programs and certain other third-party programs are complex and subject to interpretation. The United States Department of Justice and other federal agencies are increasing resources dedicated to regulatory investigations and compliance audits of health care providers. Texas Children's is subject to these regulatory efforts and monitors and responds to regulatory changes and any issues that may arise. Texas Children's intent is to be in compliance with all applicable laws and regulations, and it is not aware of any significant pending or threatened investigations involving allegations of potential wrongdoing.

12. NET ASSETS WITH AND WITHOUT DONOR RESTRICTIONS

Texas Children's funding sources include donors that have placed specific restrictions on the use of donated assets and, in certain instances, the use of the income derived from those assets. In addition, the TCH Board of Directors has designated funds for specific purposes to function as quasi-endowments. Funds held as net assets and revenues, expenses, gains, and losses are classified based on the existence or absence of donor-imposed restrictions.

Accordingly, net assets of Texas Children's and changes therein are classified and reported as follows:

- **NET ASSETS WITHOUT DONOR RESTRICTIONS** – Net assets that arise as a result of the operations of Texas Children's for its stated purposes and reported as revenues and gains in excess of expenses and losses, donations that are not subject to donor imposed restrictions, Board-designated funds held as quasi-endowments, and unrealized gains and losses on investments.
- **NET ASSETS WITH DONOR RESTRICTIONS** – Net assets that are subject to donor-imposed restrictions based on the passage of time or the occurrence of a specific event. Net assets required to be maintained in perpetuity, with only the income to be used for Texas Children's activities, due to donor-imposed restrictions. Net assets with donor restrictions also include accumulated appreciation on endowment funds.

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Texas Children's net assets are as follows:

	September 30, 2024	September 30, 2023
Net assets:		
Without donor restrictions:		
Undesignated	\$ 5,082,124	\$ 5,042,429
Board designated quasi-endowment	51,036	41,280
Total net assets without donor restrictions	5,133,160	5,083,709
With donor restrictions:		
Purpose restricted	269,287	252,887
Perpetual in nature	232,243	199,489
Total net assets with donor restrictions	501,530	452,376
Total net assets	\$ 5,634,690	\$ 5,536,085

INTERPRETATION OF RELEVANT LAW

Texas Children's follows the requirements of the Uniform Prudent Management of Institutional Funds Act (UPMIFA) as they relate to restricted endowments.

RETURN OBJECTIVES AND RISK PARAMETERS

Texas Children's has adopted investment and spending policies for endowment assets that attempt to provide a predictable stream of funding to programs supported by its endowment while seeking to maintain purchasing power of the endowment assets. Endowment assets include those assets of donor-restricted funds that Texas Children's must hold in perpetuity or for a donor-specific period as well as Board-designated endowed funds.

To satisfy its long-term rate-of-return objectives, Texas Children's relies on a total return strategy in which investment returns are achieved through both capital appreciation (realized and unrealized), and current yield (interest and dividends). Texas Children's targets a diversified asset allocation that consists of equities and fixed income securities.

SPENDING POLICY

Texas Children's policy, unless otherwise specified by the donor, of appropriating for distribution each year 5% of a three-year rolling average of the endowment market value, so long as the distribution does not decrease an endowed fund below its historical dollar value. In establishing this policy, Texas Children's considered the long-term expected return on its endowments. Accordingly, over the long term, Texas Children's expects the current spending policy to allow endowments to grow at an average of the long-term rate of inflation. This is consistent with Texas Children's objective to maintain the purchasing power of the endowment assets held in perpetuity or for a specific term, as well as to provide additional real growth through new gifts and investment return.

From time to time, the fair value of assets associated with individual donor restricted endowment funds may fall below the level that the donor requires Texas Children's to retain as a fund of perpetual duration. This could be a result of unfavorable market fluctuations that have occurred shortly after the investment of new restricted contributions and continued appropriation for certain programs that was deemed prudent by the Board of Trustees. These endowment funds are considered underwater endowment funds. As of September 30, 2024, there were no material underwater endowment funds.

13. NET PATIENT SERVICE REVENUE

Net patient service revenues are recorded as goods and services are provided at the transaction price estimated by Texas Children's to reflect the total consideration due from patients and third-party payors. The transaction price, which involves significant estimates, is determined based on Texas Children's standard charges for the goods and services provided with a reduction recorded for price concessions, which include discounts based on third party contractual arrangements and patient discounts, as well as implicit price concessions based on historical collection rates and current conditions. As performance obligations are met (i.e., room, board, ancillary services, level of care, etc.), net patient service revenue is recognized based upon an allocated transaction price as goods and services are provided to the patient. In instances where performance obligations are across multiple periods, the transaction price is allocated by applying an estimated implicit and explicit rate to gross charges based on the separate performance obligations or the patient's length of stay. Substantially all performance obligations have a duration of less than one year. Texas Children's has elected to apply the optional exemption provided in Accounting Standards Codification 606-10-50-14(a) and is not required to disclose the aggregate amount of the transaction price allocated to performance obligations that are unsatisfied or partially satisfied at the end of the reporting period, which are primarily related to inpatient acute care services.

Amounts reimbursed for services rendered to patients covered under the Medicaid and Medicare programs are generally less than the established billing rates. Texas Children's also provides services to beneficiaries of certain other third-party payor programs at amounts less than their established billing rates based on contractual arrangements. Differences between the established billing rates and amounts reimbursed are contractual adjustments.

A summary of the payment arrangements with major third-party payors is as follows:

- **COMMERCIAL** – TCH, TCP, and TCPG have entered into payment agreements with certain commercial insurance carriers, HMOs, and preferred provider organizations. The basis for payment under these agreements includes discounts from established charges, agreed-upon fees per procedure, prospectively determined per diem rates, and case rates.
- **MEDICAID PROGRAMS** – TCH reimbursement rates for inpatient Medicaid enrollees are determined using the APR-DRG classification system. The remaining hospital services and all TCP and TCPG services rendered to Medicaid beneficiaries are reimbursed under prospectively determined rates according to a patient classification system that is based on clinical, diagnostic, and other factors.
- **MEDICAID MANAGED CARE PROGRAMS** – Certain Medicaid recipients are required to enroll in selected HMOs that contract with the Medicaid program to provide primary and acute care services to enrolled Medicaid recipients. TCH has contracted with these HMOs to provide services to pediatric Medicaid recipients. TCH reimbursement rates for inpatient Medicaid Managed Care STAR, CHIP, and other programs are determined using the APR-DRG classification system. Outpatient services are primarily reimbursed at a discount from established charges.

Texas Children's
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(Dollars in thousands)

Net patient service revenue by payor was as follows:

	Year Ended			
	September 30,		September 30,	
	2024		2023	
Commercial	\$ 1,998,124	70%	\$ 1,765,043	67%
Medicaid	119,263	4%	125,419	5%
Medicaid managed care	608,273	21%	629,235	24%
Self-pay and other	146,253	5%	101,505	4%
Total all payors	\$ 2,871,913	100%	\$ 2,621,202	100%

14. CONCENTRATIONS OF CREDIT RISK

TCH, TCP, and TCPG grant credit without collateral to their patients, most of whom are local residents of the geographies of the various health care centers and are insured under third-party payor agreements. The mix of net accounts receivable from patients and third-party payors is as follows:

	September 30,	September 30,
	2024	2023
Commercial	61 %	65 %
Medicaid	5	5
Medicaid managed care	21	22
Self-pay and other	13	8
Total all payors	100 %	100 %

15. CHARITY CARE AND COMMUNITY BENEFIT

In accordance with its vision and mission, Texas Children's commits significant resources to promote the health and well-being of women and children. In support of this endeavor, Texas Children's recognizes that some of its most fragile constituents are women and children whose families are financially or medically indigent. To that end, Texas Children's provides medical treatment to patients unable to pay for treatment from their own resources or whose family or custodians are unable to pay for such treatment. Texas Children's ensures that charity care, indigent care, education, research and other sponsored community programs are available to all children and women, regardless of economic status. Therefore, Texas Children's maintains charity and community benefits programs, within limits, that are available to the entire community with equal consideration for those who are poor and underserved.

The categories included as programs and services for the poor and the underserved are as follows:

- **CHARITY CARE** – Represents the unreimbursed cost of providing, funding, or otherwise financially supporting health care services to a patient classified as financially indigent or medically indigent and who has not been insured or partially insured by one of the available government-sponsored means-tested indigent care programs. Because the vast majority of financially or medically indigent pediatric and obstetrical patients qualify for government-sponsored indigent care programs, the amounts of charity care are much less than the unreimbursed cost of government-sponsored indigent care programs. In accordance with Texas Children's established policy and procedure, a patient classified as medically indigent or financially indigent will not be required to pay for the designated portion of the care received. Services designated as charity and provided to these patients are not reported as net patient service revenue in the consolidated statements of operations and changes in net assets. Texas Children's financial assistance policy and procedures are in compliance with Internal Revenue Code section 501(r).

The cost of charity care includes both direct and indirect costs calculated based on the ratio of cost to charges. Texas Children's estimated total cost of charity care was \$73,480 and \$46,153 for the years ended September 30, 2024 and 2023, respectively. Funds received to offset or subsidize charity services were \$2,694 and \$4,050 for the years ended September 30, 2024 and 2023, respectively.

- **UNREIMBURSED COST OF GOVERNMENT-SPONSORED INDIGENT HEALTH CARE** – Represents the cost of providing services to beneficiaries of public programs, including state Medicaid and indigent care programs, in excess of any payments received from all sources.
- **COMMUNITY BENEFITS** – Represents the unreimbursed cost of providing services for the benefit of the entire community. These benefits include philanthropy, education, research and various other community-based health care programs. The majority of these benefits are for graduate medical education and academic research. Other benefits for the community target the poor and underserved and include the Community Cares Program, immunizations for children, and various community-based health educational resources. These programs are not intended to be financially self-supporting.

TCH makes other public disclosures regarding the estimated cost of its charity and community benefit activities in various reports to the state of Texas, as well as in its federal tax return.

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(Dollars in thousands)

16. CLASSIFICATION OF FUNCTIONAL EXPENSES

Expenses of Texas Children's by major functional category for the twelve months ended September 30, 2024 and 2023 are as follows:

Twelve Months Ended September 30, 2024			
	Program	Administration	Total
Salaries and benefits	\$ 2,007,031	\$ 113,396	\$ 2,120,427
Medical claims	1,830,616	-	1,830,616
Professional fees	799,095	8,179	807,274
Supplies and pharmaceuticals	604,993	-	604,993
Outside purchased services	322,498	15,785	338,283
Depreciation and amortization	179,456	1,170	180,626
Operation of plant	181,138	2,318	183,456
General and administrative	219,368	38,736	258,104
Enhanced mission support	271,535	-	271,535
Interest expense	42,291	987	43,278
Total operating expenses	<u>\$ 6,458,021</u>	<u>\$ 180,571</u>	<u>\$ 6,638,592</u>

Twelve Months Ended September 30, 2023			
	Program	Administration	Total
Salaries and benefits	\$ 1,831,816	\$ 94,041	\$ 1,925,857
Medical claims	1,743,439	-	1,743,439
Professional fees	685,774	2,871	688,645
Supplies and pharmaceuticals	546,777	-	546,777
Outside purchased services	297,564	18,138	315,702
Depreciation and amortization	166,353	1,418	167,771
Operation of plant	173,295	2,142	175,437
General and administrative	204,240	38,291	242,531
Enhanced mission support	413,507	-	413,507
Interest expense	29,277	820	30,097
Total operating expenses	<u>\$ 6,092,042</u>	<u>\$ 157,721</u>	<u>\$ 6,249,763</u>

Operating expenses are allocated to each functional category based on relevant underlying drivers, such as square footage or full-time equivalents.

17. MEDICAID SUPPLEMENTAL PAYMENTS

1115 WAIVER

The 1115 Healthcare Transformation Waiver (1115 Waiver) program is a federally approved program designed to supplement the unreimbursed costs of providing care to Medicaid and uninsured patients as the state implements the expansion of Medicaid managed care services across the state. There were originally two pools of funds established under the 1115 Waiver program: Uncompensated Care (UC) and delivery system reform incentive payment (DSRIP). The state uses intergovernmental transfers from state-owned and local governmental entities to draw down federal funds to finance both pools.

The 1115 Waiver program was first established during fiscal year 2012 and was extended through December 31, 2017. On December 21, 2017, CMS approved an extension of the 1115 Waiver effective from January 1, 2018 through September 30, 2022. That 1115 Waiver extension provided for level funding to supplement the unreimbursed costs of providing care to Medicaid and uninsured patients through September 30, 2019. Per the special terms and conditions of the 1115 Waiver extension, statewide UC expenditures were reassessed, resulting in an increase in the UC funding pool amount (to \$3.87 billion per program year) for services provided between October 1, 2019 and September 30, 2022. Further, for the same period, UC funds may only be used to defray uncompensated costs incurred by the hospitals for providing medical services to uninsured charity patients.

TCH recognizes revenue relates to its share of the UC pool on an accrual basis utilizing the submitted application and estimated payment. The UC performance obligation is the rendering of patient care. TCH allocates the transaction price based on the rendering of patient care over time. TCH considers historical UC adjustments and changes in program calculations and funding methodologies when estimating the expected final transaction price. The DSRIP funding pool was reduced for October 1, 2019 through September 30, 2021 with funding expiring thereafter.

On January 15, 2021, CMS approved a second amendment and extension of the 1115 Waiver through September 30, 2030, that provided for two reassessments of the amount of the UC pool: the first to be effective for program years 2023 – 2027 and the second to be effective for 2028 until the end of the waiver. As a result of the first reassessment, CMS approved an increase to the UC funding pool for the 2023 – 2027 program years to \$4.51 billion.

1115 Waiver revenue and its related receivable are as follows:

	Year Ended September 30,	
	2024	2023
UC Revenue	\$ 56,121	\$ 66,409
UC Reserve Adjustment (1)	(6,155)	(318)
Total 1115 Waiver Revenue	\$ 49,966	\$ 66,091

	As of September 30,	
	2024	2023
1115 Waiver Receivable	\$ -	\$ 21,916
UC Reserve Liability	\$ (6,155)	\$ -

- (1) The UC Reserve Adjustment for the twelve months ended September 30, 2024 consists of a \$6,155 liability recorded for the amount of 2019 UC payments expected to be recouped due to the receipt of the retro 2019 GME payment, as this payment will result in TCH being overpaid in the 2019 UC program. The twelve months ended September 30, 2023, UC Reserve Adjustment consists of a \$318 increase in the 2019 UC program liability due to receiving the final calculation.

Hospital Augmented Reimbursement Program (HARP)

The Hospital Augmented Reimbursement Program (HARP) provides for supplemental payments to hospitals that serve Medicaid fee-for-service patients. The payment amount is to cover the difference between Medicaid and Medicare patient services reimbursement. On August 16, 2023, CMS approved the HARP program effective October 1, 2021. Consequently, HHSC is in the process of distributing prior period program payments. The performance obligation is the rendering of patient care and is allocated over time, accordingly. TCH considers historical adjustments and changes in program calculations and funding methodologies when estimating the expected final transaction price. TCH recognizes revenue upon program approval and program funding on an accrual basis. HARP revenue is included within Medicaid and other supplemental funding reimbursements in the consolidated statements of operations and changes in net assets. HARP receivable is included within receivable for Medicaid and other supplemental reimbursements in the consolidated balance sheets. The 2023 program year has not yet been funded and thus no revenue has been recognized.

HARP revenue and its related receivable are as follows:

	Year Ended September 30,	
	2024	2023
2022 HARP	\$ -	\$ 93,750
2024 HARP	50,975	-
Total HARP Revenue	\$ 50,975	\$ 93,750

	As of September 30,	
	2024	2023
HARP Receivable	\$ -	\$ 93,750

Graduate Medical Education (GME)

The Graduate Medical Education (GME) program provides for supplemental payments to support teaching hospitals that operate approved medical residency training programs. Medicaid GME payments recognize the higher cost incurred by these providers compared to non-teaching hospitals. The GME payment amount is the product of the number of FTE residents, the Medicare per-resident amount, and the inpatient utilization percentage (i.e., Medicaid inpatient days divided by total inpatient days). On August 16, 2023, CMS approved the GME program effective April 1, 2019. Consequently, HHSC is in the process of distributing prior period program payments. The performance obligation is the teaching of graduate medical residents and is allocated based on the number of FTE residents. TCH considers historical GME adjustments and changes in program calculations and funding methodologies when estimating the expected final transaction price. TCH recognizes GME revenue upon program approval and funding on an accrual basis. GME revenue is included within Medicaid and other supplemental funding reimbursements in the consolidated statements of operations and changes in net assets. GME receivable is included within receivable for Medicaid and other supplemental reimbursements in the consolidated balance sheets. The 2021 and 2023 years have not yet been funded and thus no revenue has been recognized.

Texas Children's
Notes to the Consolidated Financial Statements

(Dollars in thousands)

GME revenue and its related receivable are as follows:

	Year Ended September 30,	
	2024	2023
2019 GME	\$ 12,424	\$ -
2020 GME	26,612	-
2022 GME	-	30,293
2024 GME	30,293	-
Total GME Revenue	<u>\$ 69,329</u>	<u>\$ 30,293</u>

	As of September 30,	
	2024	2023
GME Receivable	\$ 26,612	\$ 30,293

LOCAL PROVIDER PARTICIPATION FUND (LPPF)

The Texas Legislature approved legislation effective in May 2019, amending the Texas Health & Safety Code to enable the Harris County Hospital District (HCHD) to create and operate a Local Provider Participation Fund program (LPPF) that would require mandatory payments by all private hospitals in the county based upon net patient service revenue. These mandatory payments are used as the non-federal share of supplemental Medicaid payments. The HCHD's board of managers subsequently authorized creation of a LPPF in Harris County and chose to utilize mandatory payment revenue as the non-federal share of supplemental Medicaid payments for certain programs such as uncompensated care, uniform rate enhancements, etc. For the twelve months ended September 30, 2024 and 2023, TCH recognized \$273,424 and \$427,112, respectively, in expense related to the LPPF program. The LPPF expense is included within enhanced mission support in the consolidated statements of operations and changes in net assets. For the twelve months ended September 30, 2024, and 2023, TCH recognized (\$1,889) and (\$13,605) in adjustments related to credits from prior years' supplemental Medicaid programs that were not funded by the LPPF but are included in enhanced mission support.

18. ASSOCIATED ORGANIZATIONS

TCH has an affiliation agreement with Baylor. Under the terms of the agreement, Baylor conducts research and educational activities, and its physicians provide patient care services while utilizing TCH's facilities in the practical application of the teaching process. Mutual commitments include sharing of operational and research costs, including residents' and physicians' salaries. In addition, TCH has an agreement with Baylor relating to overhead operating costs of the adult surgical subspecialty departments that manage pediatric components. In relation to these agreements, Texas Children's recorded professional fees expense of \$807,268 and \$688,578 for the twelve months ended September 30, 2024 and 2023, respectively, which is included within professional fees in the consolidated statements of operations and changes in net assets. Amounts due to Baylor of \$76,232 and \$66,126 are included in accounts payable and accrued expenses in the consolidated balance sheets as of September 30, 2024 and 2023, respectively.

In fiscal year 2016, Texas Children's purchased the Pavilion Tower II (formally Baylor Medical Clinic) and the Fannin Tower within the Texas Medical Center from CHI St. Luke's Health Baylor College of Medicine Medical Center and St. Luke's Medical Tower Corporation (collectively, the sellers). As part of the sale and purchase agreement, certain space is leased back to the sellers, which is a joint venture between CHI St. Luke's Health and Baylor. For the twelve months ended September 30, 2024 and 2023, Texas Children's recognized rent revenue from the sellers of \$4,290,

Texas Children's
Notes to the Consolidated Financial Statements

(Dollars in thousands)

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and \$8,325, respectively, which is included in other operating revenues in the consolidated statements of operations and changes in net assets.

19. SUBSEQUENT EVENTS

Texas Children's evaluated events and transactions occurring subsequent to September 30, 2024 through December 12, 2024, the date of issuance of the consolidated financial statements. During this period, there were no subsequent events requiring recognition in the consolidated financial statements. Effective November 8, 2024, Texas Children's created a new legal entity, Main Street Community Initiatives (MSCI), which will be operated for the purposes of supporting the provision of patient care, health education and research. Other than the creation of MSCI, there were no other non-recognized subsequent events requiring disclosure.

Texas Children's



Supplemental Information

**Texas Children's
Consolidating Balance Sheet
As of September 30, 2024**
(Dollars in thousands)

	Texas Children's Hospital	Texas Children's Hospital Foundation	Obligated Group Eliminations	Combined Obligated Group	Texas Children's Pediatrics	Texas Children's Health Plan	TCH Insurance Company Ltd.	Texas Children's Physician Group	Texas Children's Global	Cain Foundation	Eliminations	Total
Assets:												
Current assets:												
Cash and cash equivalents	\$ 19,987	\$ 54,663	\$ -	\$ 74,650	\$ 1,235	\$ 160,222	\$ 139	\$ 496	\$ -	\$ 51	\$ -	\$ 236,793
Patient accounts receivable	756,893	-	-	756,893	16,354	-	-	42,319	-	-	(110,566)	705,000
Receivable for Medicaid and other supplemental reimbursements	26,612	-	-	26,612	-	-	-	-	-	-	-	26,612
Assets limited as to use, current portion	53,941	-	-	53,941	-	-	-	-	-	-	-	53,941
Investment-related receivables	-	113,998	-	113,998	-	1,492	-	-	-	-	-	115,490
Other current assets	815,946	-	(232,017)	583,929	29,421	286,694	19,860	44,875	1	-	(349,454)	615,326
Total current assets	1,673,379	168,661	(232,017)	1,610,023	47,010	448,408	19,999	87,690	1	51	(460,020)	1,753,162
Assets limited as to use	2,795,784	-	(2,676,858)	118,926	-	3,000	96,700	-	-	-	(60)	218,566
Investments	469,146	3,380,868	(469,128)	3,380,886	-	339,408	-	-	-	35,780	(14,522)	3,741,552
Property and equipment, net	2,388,757	-	-	2,388,757	21,240	6,068	-	29,137	1	-	(2)	2,445,201
Other assets	282,335	-	-	282,335	59,393	10,055	-	738	-	-	(3,312)	349,209
Amounts due from affiliate	69,629	-	-	69,629	-	-	-	-	-	-	(69,629)	-
Investment in subsidiary	191,987	-	-	191,987	-	-	-	-	-	-	(191,987)	-
Total assets	\$ 7,871,017	\$ 3,549,529	\$ (3,378,003)	\$ 8,042,543	\$ 127,643	\$ 806,939	\$ 116,699	\$ 117,565	\$ 2	\$ 35,831	\$ (739,532)	\$ 8,507,690
Liabilities and net assets (deficit):												
Current liabilities												
Accounts payable and accrued expenses	\$ 675,318	\$ 714,594	\$ (701,089)	\$ 688,823	\$ 212,829	\$ 473,564	\$ 9,253	\$ 126,196	\$ 9,290	\$ 896	\$ (476,058)	\$ 1,044,793
Investment-related accrued expenses	-	158,017	-	158,017	-	2,960	-	-	-	15	-	160,992
Current portion of long-term debt	23,805	-	-	23,805	-	-	-	-	-	-	-	23,805
Line of credit	266,300	-	-	266,300	-	-	-	-	-	-	-	266,300
Total current liabilities	965,423	872,611	(701,089)	1,136,945	212,829	476,524	9,253	126,196	9,290	911	(476,058)	1,495,890
Long-term debt	1,193,613	-	-	1,193,613	-	-	-	-	-	-	-	1,193,613
Loss reserves for self-insurance program	-	-	-	-	-	-	35,454	-	-	-	-	35,454
Long-term operating lease obligations	63,377	-	-	63,377	39,562	14,048	-	463	-	-	(2,650)	114,800
Other long-term liabilities	33,243	-	-	33,243	-	-	68,777	-	-	-	(68,777)	33,243
Total liabilities	2,255,656	872,611	(701,089)	2,427,178	252,391	490,572	113,484	126,659	9,290	911	(547,485)	2,873,000
Net assets (deficit):												
Without donor restrictions	5,113,831	2,676,918	(2,676,914)	5,113,835	(124,748)	316,367	3,215	(9,094)	(9,288)	34,920	(192,047)	5,133,160
With donor restrictions	501,530	-	-	501,530	-	-	-	-	-	-	-	501,530
Total net assets (deficit)	5,615,361	2,676,918	(2,676,914)	5,615,365	(124,748)	316,367	3,215	(9,094)	(9,288)	34,920	(192,047)	5,634,690
Total liabilities and net assets (deficit)	\$ 7,871,017	\$ 3,549,529	\$ (3,378,003)	\$ 8,042,543	\$ 127,643	\$ 806,939	\$ 116,699	\$ 117,565	\$ 2	\$ 35,831	\$ (739,532)	\$ 8,507,690

Texas Children's
Consolidating Statement of Operations and Changes in Net Assets
For the twelve months ended September 30, 2024
(Dollars in thousands)

	Texas Children's Hospital	Texas Children's Hospital Foundation	Obligated Group Eliminations	Combined Obligated Group	Texas Children's Pediatrics	Texas Children's Health Plan	TCH Insurance Company Ltd.	Texas Children's Physician Group	Texas Children's Global	Cain Foundation	Eliminations	Total
Changes in net assets without donor restrictions:												
Operating revenues:												
Net patient service revenue	\$ 3,108,204	\$ -	\$ -	\$ 3,108,204	\$ 283,109	\$ -	\$ -	\$ 312,710	\$ -	\$ -	\$ (832,110)	\$ 2,871,913
Premium revenue	-	-	-	-	-	2,727,450	13,499	-	-	-	(13,499)	2,727,450
Medicaid and other supplemental reimbursements	170,347	-	-	170,347	7,030	-	-	-	-	-	(7,030)	170,347
Grants	17,618	-	-	17,618	-	983	-	-	-	-	(264)	18,337
Net assets released from restriction for operations	45,632	-	-	45,632	325	51	-	51	6,073	-	-	52,132
Other	432,115	-	-	432,115	1,913	2,100	17,076	467,845	2	-	(590,557)	330,494
Total operating revenues	3,773,916	-	-	3,773,916	292,377	2,730,584	30,575	780,606	6,075	-	(1,443,460)	6,170,673
Operating expenses:												
Salaries and benefits	1,724,471	-	-	1,724,471	227,400	117,741	-	50,349	1,652	-	(1,186)	2,120,427
Medical claims	-	-	-	-	-	2,734,087	29,930	-	-	-	(933,401)	1,830,616
Professional fees	564,211	-	-	564,211	700	158	-	698,395	8,803	-	(464,993)	807,274
Supplies and pharmaceuticals	537,820	-	-	537,820	59,620	309	-	6,998	246	-	-	604,993
Outside purchased services	270,792	-	-	270,792	29,716	55,432	156	1,845	3,754	897	(24,309)	338,283
Depreciation and amortization	164,777	-	-	164,777	6,569	6,673	-	2,582	25	-	-	180,626
Operation of plant	170,670	-	-	170,670	6,184	6,364	9	227	2	-	-	183,456
General and administrative	178,386	-	-	178,386	7,155	58,337	480	25,436	881	-	(12,571)	258,104
Enhanced mission support	271,535	-	-	271,535	-	-	-	-	-	-	-	271,535
Interest	43,278	-	-	43,278	-	-	-	-	-	-	-	43,278
Total operating expenses	3,925,940	-	-	3,925,940	337,344	2,979,101	30,575	785,832	15,363	897	(1,436,460)	6,638,592
Operating (loss) income	(152,024)	-	-	(152,024)	(44,967)	(248,517)	-	(5,226)	(9,288)	(897)	(7,000)	(467,919)
Nonoperating gains (losses):												
Investment return	7,520	411,876	-	419,396	58	50,716	-	47	-	6,694	-	476,911
Change in interest rate swap valuation	(10,998)	-	-	(10,998)	-	-	-	-	-	-	-	(10,998)
Other	(5,908)	-	-	(5,908)	(1,214)	(1,732)	-	(270)	-	-	7,000	(2,124)
Net nonoperating (losses)/gains	(9,386)	411,876	-	402,490	(1,156)	48,984	-	(223)	-	6,694	7,000	463,789
Revenues and gains in (deficiency) excess of expenses and losses	\$ (161,410)	\$ 411,876	\$ -	\$ 250,466	\$ (46,123)	\$ (199,533)	\$ -	\$ (5,449)	\$ (9,288)	\$ 5,797	\$ -	\$ (4,130)

Texas Children's
Consolidating Statement of Operations and Changes in Net Assets, *continued*
For the twelve months ended September 30, 2024
(Dollars in thousands)

	Texas Children's Hospital	Texas Children's Hospital Foundation	Obligated Group Eliminations	Combined Obligated Group	Texas Children's Pediatrics	Texas Children's Health Plan	TCH Insurance Company Ltd.	Texas Children's Physician Group	Texas Children's Global	Cain Foundation	Eliminations	Total
Changes in net assets without restrictions:												
Revenues and gains in excess (deficiency) of expenses and losses brought forward	\$ (161,410)	\$ 411,876	\$ -	\$ 250,466	\$ (46,123)	\$ (199,533)	\$ -	\$ (5,449)	\$ (9,288)	\$ 5,797	\$ -	(4,130)
Net assets released from donor restrictions for purchases of property, equipment and other	12,375	-	-	12,375	-	-	-	-	-	206	-	12,581
Change in pension liabilities	41,000	-	-	41,000	-	-	-	-	-	-	-	41,000
Equity transfer	293,635	(293,635)	-	-	-	-	-	-	-	-	-	-
Beneficial interest in Texas Children's Hospital Foundation	118,242	-	(118,242)	-	-	-	-	-	-	-	-	-
Change in net assets without donor restrictions	303,842	118,241	(118,242)	303,841	(46,123)	(199,533)	-	(5,449)	(9,288)	6,003	-	49,451
Changes in net assets with donor restrictions:												
Donor-restricted contributions	69,023	-	-	69,023	-	-	-	-	-	-	-	69,023
Net assets released from restrictions	(61,548)	-	-	(61,548)	-	-	-	-	-	-	-	(61,548)
Investment return and other, net	41,679	-	-	41,679	-	-	-	-	-	-	-	41,679
Change in net assets with donor restrictions	49,154	-	-	49,154	-	-	-	-	-	-	-	49,154
Change in net assets	352,996	118,241	(118,242)	352,995	(46,123)	(199,533)	-	(5,449)	(9,288)	6,003	-	98,605
Net assets (deficit) at beginning of year	5,262,365	2,558,677	(2,558,672)	5,262,370	(78,625)	515,900	3,215	(3,645)	-	28,917	(192,047)	5,536,085
Net assets (deficit) at end of period	\$ 5,615,361	\$ 2,676,918	\$ (2,676,914)	\$ 5,615,365	\$ (124,748)	\$ 316,367	\$ 3,215	\$ (9,094)	\$ (9,288)	\$ 34,920	\$ (192,047)	\$ 5,634,690

Texas Children's
Consolidating Statement of Cash Flows
For the twelve months ended September 30, 2024
(Dollars in thousands)

	Texas Children's											
	Texas Children's Hospital	Hospital Foundation	Obligated Group Eliminations	Combined Obligated Group	Texas Children's Pediatrics	Texas Children's Health Plan	TCH Insurance Company Ltd.	Texas Children's Physician Group	Texas Children's Global	Cain Foundation	Eliminations	Total
Operating activities:												
Net cash provided/(used in) by operating activities	\$ 78,498	\$ (108,080)	\$ (75,377)	\$ (104,959)	\$ 7,421	\$ (608,731)	\$ (4,775)	\$ 19,269	\$ 26	\$ (501)	\$ (1,772)	\$ (694,022)
Investing activities:												
Sales of investments, net	21,097	98,640	75,377	195,114	-	264,663	4,475	-	-	492	1,772	466,516
(Purchases) sales of property and equipment	(217,898)	-	-	(217,898)	(6,619)	234	-	(18,866)	(26)	-	-	(243,175)
Net cash (used in)/provided by investing activities	(196,801)	98,640	75,377	(22,784)	(6,619)	264,897	4,475	(18,866)	(26)	492	1,772	223,341
Financing activities:												
Repayments on line-of-credit, net	34,300	-	-	34,300	-	-	-	-	-	-	-	34,300
Principal payment on long-term debt, and other	(22,644)	-	-	(22,644)	-	-	-	-	-	-	-	(22,644)
Proceeds from issuance of long-term debt	253,030	-	-	253,030	-	-	-	-	-	-	-	253,030
Deferred financing costs	(2,098)	-	-	(2,098)	-	-	-	-	-	-	-	(2,098)
Redemption of long-term debt	(78,910)	-	-	(78,910)	-	-	-	-	-	-	-	(78,910)
Donor restricted contributions received	67,649	-	-	67,649	-	-	-	-	-	-	-	67,649
Proceeds from sale of donated securities with restrictions	-	16,340	-	16,340	-	-	-	-	-	-	-	16,340
Restricted investment return	(9,368)	-	-	(9,368)	-	-	-	-	-	-	-	(9,368)
Net cash provided by financing activities	241,959	16,340	-	258,299	-	-	-	-	-	-	-	258,299
Net increase (decrease) in cash, cash equivalents, and restricted cash	123,656	6,900	-	130,556	802	(343,834)	(300)	403	-	(9)	-	(212,382)
Cash, cash equivalents and restricted cash at beginning of year	\$ 68,762	\$ 47,763	\$ -	\$ 116,525	\$ 433	\$ 504,056	\$ 439	\$ 93	\$ -	\$ 60	\$ -	\$ 621,606
Cash, cash equivalents and restricted cash at end of year	\$ 192,418	\$ 54,663	\$ -	\$ 247,081	\$ 1,235	\$ 160,222	\$ 139	\$ 496	\$ -	\$ 51	\$ -	\$ 409,224
Supplemental Disclosures												
Cash paid for interest	\$ 56,537	\$ -	\$ -	\$ 56,537	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 56,537
Capital in accounts payable and accrued expenses	\$ 17,436	\$ -	\$ -	\$ 17,436	\$ 622	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 18,058
Lease liabilities from recognizing right-of-use assets	\$ 17,600	\$ -	\$ -	\$ 17,600	\$ 20,234	\$ (3,837)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 33,997

TEXAS CHILDREN'S
Schedule of Expenditures of Federal Awards
Year ended September 30, 2024

Federal Grantor/Pass-Through Grantor/Program Title	Assistance Listing Number	Federal Award Identifying Number	Pass-Through Award Identifying Number	Passed Through to Subrecipients	Federal Award Expenditures
U.S. Department of Health and Human Services					
Direct Agency Funded Programs:					
Congressional Directives	93.493	CE152329	-	\$ -	\$ 1,996,314
Total Direct Agency Funded Programs				-	1,996,314
Passed-Through Programs:					
<i>Passed-Through Houston Regional HIV/AIDS Resource Group Inc.:</i>					
Coordinated Services and Access to Research for Women, Infants, Children and Youth	93.153	H12HA24804	24TCH00RWD	-	322,797
Coordinated Services and Access to Research for Women, Infants, Children and Youth	93.153	H12HA24804	25TCH00RWD	-	60,930
				-	383,727
<i>Passed-Through Texas Department of Family and Protective Services:</i>					
Temporary Assistance for Needy Families	93.558	2401TXTANF	HHS000791900003	-	69,386
<i>Passed-Through Texas Health and Human Services Commission:</i>					
Temporary Assistance for Needy Families	93.558	2401TXTANF	HHS000791900003	-	18,395
				-	87,781
Total Passed-Through Programs				-	471,508
Total U.S. Department of Health and Human Services				-	2,467,822
U.S. Agency for International Development					
Direct Agency Funded Programs:					
Foreign Assistance to American Schools and Hospital Abroad (ASHA) - Baylor Uganda FY19	98.006	72ASHA19GR00005	-	-	271,661
Foreign Assistance to American Schools and Hospital Abroad (ASHA) - Baylor Uganda FY20	98.006	71ASHA20GR00021	-	-	255,982
Total Direct Agency Funded Programs				-	527,643
Total U.S. Agency for International Development				-	527,643
U.S. Department of the Treasury					
Passed-Through Programs:					
<i>Passed through Harris County, Texas:</i>					
COVID-19 - Coronavirus State and Local Fiscal Recovery Funds	21.027	SLFRP1966	HC200315	486,900	1,332,541
Total Passed-Through Programs				486,900	1,332,541
Total U.S. Department of the Treasury				486,900	1,332,541
U.S. Department of Transportation					
Passed-Through Programs:					
<i>Passed through Texas Department of Transportation:</i>					
State and Community Highway Safety	20.600	69A37520300004020TX0	2024-TCH-G-1YG-0024	-	273,382
State and Community Highway Safety	20.600	69A37520300004020TX0	2024-TCH-G-1YG-0025	-	109,063
Total Passed-Through Programs				-	382,445
Total U.S. Department of Transportation				-	382,445
Total Federal Expenditures				\$ 486,900	\$ 4,710,451

See accompanying notes to the schedules of expenditures of federal and state awards.

TEXAS CHILDREN'S
Schedule of Expenditures of State Awards
Year ended September 30, 2024

State Grantor/Pass-Through Grantor/Program Title	State Award Identifying Number	Pass-Through Award Identifying Number	Passed Through to Subrecipients	State Award Expenditures
Texas Department of Family and Protective Services:				
Direct Agency Funded Programs:				
Texas Nurse Family Partnership Program	HHS000791900003	-	\$ -	\$ 835,146
Total Direct Agency Funded Programs			-	835,146
Passed-Through Programs:				
<i>Passed-Through Baylor College of Medicine:</i>				
Hopes - Upstart: Family Support from Prenatal to 5	HHS000855300003	P700000807	-	432,089
Hopes - Upstart: Family Support from Prenatal to 5	HHS000855300003	P700001240	-	37,233
Total Passed-Through Programs			-	469,322
Total Texas Department of Family and Protective Services			-	1,304,468
Texas Health and Human Services Commission				
Direct Agency Funded Programs:				
Texas Nurse Family Partnership Program	HHS000791900003	-	-	59,839
Total Direct Agency Funded Programs			-	59,839
Total Texas Health and Human Services Commission			-	59,839
Texas Office of the Governor – Criminal Justice Division				
Texas Children's Hospital's SAFE-Ready Facilities Program	4176103	-	-	44,652
Texas Children's Hospital's SAFE-Ready Facilities Program	4767601	-	-	18,871
Total Texas Office of the Governor – Criminal Justice Division			-	63,523
Total Expenditures of State Awards			\$ -	\$ 1,427,830

See accompanying notes to the schedules of expenditures of federal and state awards.

TEXAS CHILDREN’S
Schedule of Findings and Questioned Costs
Year ended September 30, 2024

1. BASIS OF PRESENTATION

The accompanying Schedules include the federal and state grant expenditures of Texas Children’s under programs of the federal and state governments for the year ended September 30, 2024. The information in these Schedules is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance), and the Texas Grant Management Standards (“TxGMS”), as applicable. Because the Schedules present only a selected portion of the operations of Texas Children’s, they are not intended to and do not present the financial position, changes in net assets, or cash flows of Texas Children’s.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Expenditures on the Schedules are generally reported on the accrual basis of accounting. Such expenditures are recognized following the cost principles contained in Subpart E of the Uniform Guidance and the TxGMS, as applicable, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

TEXAS CHILDREN'S

**Independent Auditor's Report
in accordance with the
Uniform Guidance and the Texas Grant
Management Standards**

Year Ended September 30, 2024

TEXAS CHILDREN’S
Year Ended September 30, 2024
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**Report on Compliance for Each Major Federal and State Program and Report on
Internal Control Over Compliance Required by the Uniform Guidance and the Texas
Grant Management Standards**

Independent Auditor's Report

To the Audit, Risk & Compliance Committee of the Board of Trustees of
Texas Children's

Report on Compliance for Each Major Federal and State Program

Opinion on Each Major Federal and State Program

We have audited Texas Children's compliance with the types of compliance requirements identified as subject to audit in the *U.S. Office of Management and Budget (OMB) Compliance Supplement* and the Texas Grant Management Standards ("TxGMS"), as applicable, that could have a direct and material effect on each of Texas Children's major federal and state programs for the year ended September 30, 2024. Texas Children's major federal and state programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

In our opinion, Texas Children's complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal and state programs for the year ended September 30, 2024.

Basis for Opinion on Each Major Federal and State Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (U.S. GAAS); the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (*Government Auditing Standards*); the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance); and the audit requirements of TxGMS. Our responsibilities under those standards, the Uniform Guidance, and TxGMS are further described in the Auditors' Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of Texas Children's and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal and state program. Our audit does not provide a legal determination of Texas Children's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to Texas Children's federal and state programs.



Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and to express an opinion on Texas Children's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with U.S. GAAS, *Government Auditing Standards*, Uniform Guidance, and TxGMS will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about Texas Children's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with U.S. GAAS, *Government Auditing Standards*, Uniform Guidance, and TxGMS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding Texas Children's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of Texas Children's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance and TxGMS, but not for the purpose of expressing an opinion on the effectiveness of Texas Children's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control over Compliance

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal or a state program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal or a state program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal or a state program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.



McConnell Jones

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance and TxGMS. Accordingly, this report is not suitable for any other purpose.

McConnell Jones LLP

Houston, Texas
June 11, 2025

TEXAS CHILDREN'S
Schedule of Expenditures of Federal Awards
Year ended September 30, 2024

Federal Grantor/Pass-Through Grantor/Program Title	Assistance Listing Number	Federal Award Identifying Number	Pass-Through Award Identifying Number	Passed Through to Subrecipients	Federal Award Expenditures
U.S. Department of Health and Human Services					
Direct Agency Funded Programs:					
Congressional Directives	93.493	CE152329	-	\$ -	\$ 1,996,314
Total Direct Agency Funded Programs				-	1,996,314
Passed-Through Programs:					
<i>Passed-Through Houston Regional HIV/AIDS Resource Group Inc.:</i>					
Coordinated Services and Access to Research for Women, Infants, Children and Youth	93.153	H12HA24804	24TCH00RWD	-	322,797
Coordinated Services and Access to Research for Women, Infants, Children and Youth	93.153	H12HA24804	25TCH00RWD	-	60,930
				-	383,727
<i>Passed-Through Texas Department of Family and Protective Services:</i>					
Temporary Assistance for Needy Families	93.558	2401TXTANF	HHS000791900003	-	69,386
<i>Passed-Through Texas Health and Human Services Commission:</i>					
Temporary Assistance for Needy Families	93.558	2401TXTANF	HHS000791900003	-	18,395
				-	87,781
Total Passed-Through Programs				-	471,508
Total U.S. Department of Health and Human Services				-	2,467,822
U.S. Agency for International Development					
Direct Agency Funded Programs:					
Foreign Assistance to American Schools and Hospital Abroad (ASHA) - Baylor Uganda FY19	98.006	72ASHA19GR00005	-	-	271,661
Foreign Assistance to American Schools and Hospital Abroad (ASHA) - Baylor Uganda FY20	98.006	71ASHA20GR00021	-	-	255,982
Total Direct Agency Funded Programs				-	527,643
Total U.S. Agency for International Development				-	527,643
U.S. Department of the Treasury					
Passed-Through Programs:					
<i>Passed through Harris County, Texas:</i>					
COVID-19 - Coronavirus State and Local Fiscal Recovery Funds	21.027	SLFRP1966	HC200315	486,900	1,332,541
Total Passed-Through Programs				486,900	1,332,541
Total U.S. Department of the Treasury				486,900	1,332,541
U.S. Department of Transportation					
Passed-Through Programs:					
<i>Passed through Texas Department of Transportation:</i>					
State and Community Highway Safety	20.600	69A37520300004020TX0	2024-TCH-G-1YG-0024	-	273,382
State and Community Highway Safety	20.600	69A37520300004020TX0	2024-TCH-G-1YG-0025	-	109,063
Total Passed-Through Programs				-	382,445
Total U.S. Department of Transportation				-	382,445
Total Federal Expenditures				\$ 486,900	\$ 4,710,451

See accompanying notes to the schedules of expenditures of federal and state awards.

TEXAS CHILDREN'S
Schedule of Expenditures of State Awards
Year ended September 30, 2024

State Grantor/Pass-Through Grantor/Program Title	State Award Identifying Number	Pass-Through Award Identifying Number	Passed Through to Subrecipients	State Award Expenditures
Texas Department of Family and Protective Services:				
Direct Agency Funded Programs:				
Texas Nurse Family Partnership Program	HHS000791900003	-	\$ -	\$ 835,146
Total Direct Agency Funded Programs			-	835,146
Passed-Through Programs:				
<i>Passed-Through Baylor College of Medicine:</i>				
Hopes - Upstart: Family Support from Prenatal to 5	HHS000855300003	P700000807	-	432,089
Hopes - Upstart: Family Support from Prenatal to 5	HHS000855300003	P700001240	-	37,233
Total Passed-Through Programs			-	469,322
Total Texas Department of Family and Protective Services			-	1,304,468
Texas Health and Human Services Commission				
Direct Agency Funded Programs:				
Texas Nurse Family Partnership Program	HHS000791900003	-	-	59,839
Total Direct Agency Funded Programs			-	59,839
Total Texas Health and Human Services Commission			-	59,839
Texas Office of the Governor – Criminal Justice Division				
Texas Children's Hospital's SAFE-Ready Facilities Program	4176103	-	-	44,652
Texas Children's Hospital's SAFE-Ready Facilities Program	4767601	-	-	18,871
Total Texas Office of the Governor – Criminal Justice Division			-	63,523
Total Expenditures of State Awards			\$ -	\$ 1,427,830

See accompanying notes to the schedules of expenditures of federal and state awards.

TEXAS CHILDREN'S
Notes to the Schedules of Expenditures of Federal and State Awards
Year ended September 30, 2024

1. ORGANIZATION AND BUSINESS

Texas Children's is a not-for-profit organization with a mission to create a healthier future for children and women throughout its global community by leading in patient care, education, and research. The consolidated financial statements of Texas Children's include numerous entities; those entities which received federal and state grant awards are described below.

Texas Children's Hospital (TCH) primarily provides direct patient care and conducts educational and research activities within Houston and its surrounding communities. It is comprised of a 626 licensed-bed comprehensive tertiary care pediatric facility and a 119 licensed-bed facility, providing obstetrics and gynecological care, both located in Houston's Texas Medical Center, an 86 licensed-bed full-service pediatric facility located in west Houston, and a 74 licensed-bed full service pediatric facility located in The Woodlands, Texas. Beginning in February 2024, TCH opened and began services of a 52 licensed-bed comprehensive pediatric, obstetric, and gynecological care facility located in the North Austin area.

Texas Children's Health Plan, Inc. (TCHP) operates a health maintenance organization, the first of its kind for pediatrics in the nation, and has a Certificate of Authority from the Texas Department of Insurance. It improves the quality, cost, and access of pediatric and obstetrical services delivered to health plan members in its service area.

Texas Children's is the sole corporate member of TCH and TCHP. All Texas Children's entities described above are exempt from federal income taxes under Section 501(c)(3) of the Internal Revenue Code.

2. BASIC FINANCIAL STATEMENTS

The consolidated financial statements of Texas Children's include the entities described above as well as other entities. Intercompany balances and transactions have been eliminated in consolidation. The consolidated basic financial statements of Texas Children's were audited by Ernst & Young, LLP (E&Y), whose report dated December 12, 2024, except for the schedule of expenditures of federal and state awards (Schedules) for which the date is June 11, 2025, was furnished to McConnell & Jones LLP. Such report indicated that the Schedules were subjected to the auditing procedures applied in E&Y's audit of the basic financial statements, and that the Schedules are fairly stated, in all material respects, in relation to the consolidated basic financial statements as a whole.

3. BASIS OF PRESENTATION

The accompanying Schedules include the federal and state grant expenditures of Texas Children's under programs of the federal and state governments for the year ended September 30, 2024. The information in these Schedules is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance), and the Texas Grant

TEXAS CHILDREN'S

Notes to the Schedules of Expenditures of Federal and State Awards

Year ended September 30, 2024

Management Standards ("TxGMS"), as applicable. Because the Schedules present only a selected portion of the operations of Texas Children's, they are not intended to and do not present the financial position, changes in net assets, or cash flows of Texas Children's.

4. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Expenditures on the Schedules are generally reported on the accrual basis of accounting. Such expenditures are recognized following the cost principles contained in Subpart E of the Uniform Guidance and the TxGMS, as applicable, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

5. INDIRECT COST RATE

Texas Children's did not elect to use the 10% de minimis indirect cost rate for the year ended September 30, 2024, since it either charge indirect cost specifically approved in a grant award document or, when allowed, charges indirect cost rate previously approved from U.S. Department of Health and Human Services, its oversight agency.

6. RELATIONSHIP TO FINANCIAL REPORTS SUBMITTED TO GRANTOR AGENCIES

Amounts reflected in the financial reports submitted to grantor agencies for the programs and the Schedules may not agree because of accruals which would be included in the next reports filed with grantor agencies and because of the different program year-ends.

7. ASSOCIATED ORGANIZATION

Texas Children's has an affiliation agreement with Baylor College of Medicine ("Baylor"). Under the terms of this agreement, Baylor conducts research and educational activities, and its physicians provide patient care services while utilizing the Texas Children's facilities in the practical application of the teaching process. Mutual commitments include sharing operational and research costs, including residents' and physicians' salaries.

The following summarizes expenses included in the Schedules that represent payments made to Baylor for reimbursement of professional fees for physicians' time under this affiliation agreement:

Coordinated Services and Access to Research for Women, Infants, Children and Youth (ALN 93.153)	\$ <u>10,017</u>
Total payments made to Baylor included in the Schedule of Expenditures of Federal Awards	\$ <u>10,017</u>

TEXAS CHILDREN'S

Notes to the Schedules of Expenditures of Federal and State Awards

Year ended September 30, 2024

8. CONTINGENCIES

Texas Children's federal and state programs are subject to review and audit by grantor agencies. Consequently, Texas Children's may become liable to refund money to funding agencies where it fails to comply with contract provisions. In addition, Texas Children's may not fully collect federal or state grant receivables as at September 30, 2024, related to the reported federal or state grant expenditures as these receivables may be subject to the grantors' compliance approval process. Texas Children's management believes that the results of these reviews and audits will not have a material effect on the amounts reported in the Schedules.

TEXAS CHILDREN'S
Schedule of Findings and Questioned Costs
Year ended September 30, 2024

PART I – SUMMARY OF AUDITOR'S RESULTS

Financial Statement Section

- | | |
|---|------------|
| 1. Type of auditor's report issued: | Unmodified |
| 2. Internal control over financial reporting: | |
| a) Material weaknesses identified? | No |
| b) Significant deficiencies identified, which are not considered to be material weaknesses? | No |
| 3. Noncompliance material to financial statements noted? | No |

Federal and State Awards Section

- | | |
|---|------------|
| 1. Internal control over major programs: | |
| a) Material weaknesses identified? | No |
| b) Significant deficiencies identified, which are not considered to be material weaknesses? | |
| - Federal | No |
| - State | No |
| 2. Type of auditor's report issued on compliance for major programs: | Unmodified |
| 3. Any audit findings disclosed, which are required to be reported in accordance with 2 CFR Section 200.516(a)? | No |
| 4. Identification of major programs: | |

<u>Name of Federal Program</u>	<u>Assistance Listing Number</u>
COVID-19 – Coronavirus State and Local Fiscal Recovery Funds	21.027
Congressional Directives	93.493
<u>Name of State Program</u>	
Texas Nurse Family Partnership Program	-

- | | |
|--|-------------------------|
| 5. Dollar threshold used to distinguish between type A and B programs: | |
| Federal: \$750,000 | State: \$750,000 |
| 6. Auditee qualified as low-risk auditee under 2 CFR Section 200.520 and the State of Texas Single Audit Circular? | |
| Federal: Low | State: Low |

TEXAS CHILDREN'S
Schedule of Findings and Questioned Costs
Year ended September 30, 2024

PART II – FINDINGS - FINANCIAL STATEMENT AUDIT

None noted.

TEXAS CHILDREN'S
Schedule of Findings and Questioned Costs
Year ended September 30, 2024

**PART III – FINDINGS AND QUESTIONED COSTS - MAJOR FEDERAL AND STATE
AWARD PROGRAMS**

None noted.

TEXAS CHILDREN'S
Summary Schedule of Prior Audit Findings
Year ended September 30, 2024

There were no prior year audit findings.